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Technology - Software & Services | Europe

2Q26 CIO Survey - An Improved Revision Risk Picture for 2026 IT Budgets

Our latest proprietary survey shows an uptick in IT budget expectations, while near-term revision risk inflected positively. Software remains the fastest growth category and is sequentially unchanged, but IT Services expectations edged lower.

AlphaWise 

Key Takeaways

- 2026 IT budget growth now expected to accelerate +10bps y/y to 3.8%, a sequential growth expectations tick-up for our third survey in a row
- Software is the fastest growth category at 4.1% y/y growth (+30bps y/y); Services at 1.8% y/y growth (-30bps y/y)
- For the first time since our 1Q24 survey, the near-term IT budget revision ratio (a.k.a. up-to-down ratio) exceeds 1.0x implying upside risks
- AI remains the top 2026 spending priority for CIOs, but macro-defensibility of these projects has moderated

Slight acceleration in expected 2026 IT budget growth... 2026 y/y IT budget growth is now expected to be 3.8% (+10bps y/y acceleration), versus of 3.7% (+c. 10bps y/y) in our prior survey. Software is the highest-growth category at 4.1% y/y growth (+c. 30bps y/y), followed by Communications at 2.6% (-c. 10bps y/y), Services at 1.8% (-c. 30bps y/y), and Hardware at 1.6% (flat y/y). EU CIOs expect lower growth at 3.5% (flat y/y), versus US CIOs at 3.9% (+c. 20bps y/y). Compared to our 1Q26 survey, 2026 Software growth expectations are largely unchanged, while Services deteriorated 20bps.

...and near-term budget revision risk turns positive for the first time since 1Q24: The 1-year up-to-down (UTD) ratio (which measures the percentage of CIOs expecting a further IT budget increase in 2026 vs those expecting a decrease) increased to 1.2x, from 0.8x in the prior survey. This indicates that 2026 IT budgets are now slightly more likely to be revised upwards than downwards. The 3-year UTD ratio remains constructive at 2.8x.

AI continues to be top priority, but with moderated macro-defensibility: While AI remains the top 2026 CIO spending priority, the likelihood of AI projects seeing budget cuts should an economic downturn ensue, increased, with the macro-defensibility of these projects dropping to rank 5 (from rank 2 in our previous survey). Elsewhere, we note that CIOs cited hyperscalers and LLM providers as the

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most likely vendors to be used for building custom AI applications, both today and in the next three years.

Incrementally constructive for overall budgets, though IT Services remains more challenged.

Despite elevated geopolitical uncertainty during the survey period (May-June), CIO spending intentions improved modestly and near-term revisions now skew slightly upwards. We view this as a moderately supportive signal for the broader IT spending environment. Software remains the fastest-growing major category, with expected 2026 growth of 4.1%, 30bps above reported 2025 growth but broadly unchanged from our prior survey. This points to a relatively resilient Software spending backdrop, although vendor-level intentions remain mixed and the results do not yet indicate a broad-based acceleration in application software demand. By contrast, IT Services continues to lag, with 2026 budget growth expectations also c. 20bps sequentially weaker than our last survey. Together with the increased perceived willingness to discount among tracked IT Services vendors, including **Capgemini**, this reinforces our cautious outlook for the sector.

Key takeaways from our Software-specific survey:

- (1) *Vendor spend*: Surveyed CIOs expect software spending to trend up for **Microsoft** (7.6% y/y growth vs 6.3% in 2Q25), **ServiceNow** (4.3% vs 3.9%), and **Snowflake** (5.3% vs 4.1%), and to be flat to down for other vendors.
- (2) *Spend on SaaS projects*: CIOs expect spending on SaaS projects to increase by +4.9% in 2026 vs 2025, up from 3.6% in 2025 vs 2024.
- (3) *ERP refresh cycle*: 8% of CIOs anticipate upgrading their ERP/GL platform in 2026, 17% in 2027, and 35% in 2028 or later. At 22% of respondents, **SAP S/4HANA** is the most cited cloud-based SaaS ERP/GL platform to be used in the next upgrade cycle (up from 2Q25 at c. 19%). This is supportive of SAP's positioning, albeit timing remains weighted toward later years and the ERP net-spend outlook declined to 15% from 38% in 2Q25.

Key takeaways from our IT Services-specific survey:

- (1) *2026 budgets*: While corporate sentiment with respect to IT Services improved vs our 4Q25 survey, we view the change as marginal and expect spending to remain broadly aligned with the subdued levels seen in 2025, as 62% of CIOs indicated. We also note that the vast majority of respondents are not seeing any delays on IT Services projects related to macro or geopolitical factors, with our survey reading here improved from 4Q25.
- (2) *Vendor discounts*: The willingness of vendors to discount prices increased meaningfully on average vs our 4Q25 survey, with all the vendors we track in our survey reportedly more willing to offer pricing discounts (though with large variation between vendors). Net c. 41% of applicable CIOs (n=27 out of 60) perceive **Capgemini** as being more willing to offer discount pricing, an increase from our 4Q25 and 2Q25 surveys, at 18% and 17% respectively.
- (3) *Key service provider priorities*: AI/ML/PA upgrade projects are top priority among surveyed CIOs, with 77% indicating that they will engage with an outside professional IT Services provider to help with the planning or execution. This result speaks to the AI bull case for IT Services – that they will be key to enabling integration/adoption of AI at the enterprise level.

Note on Vendor Changes

• Historical October 2015 (3Q15) Macro survey data reflects a different survey vendor, representing a higher mix of small businesses, and a change in business verticals represented. This may affect historical comparisons.

• In the first half of 2024, Domain and VARs surveys underwent a transition to a new vendor. Hence, comparisons with prior surveys conducted by legacy vendor could face possible comparability issues.

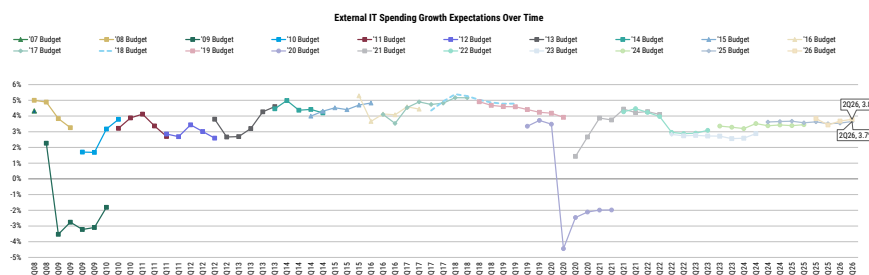
Source: AlphaWise

Macro – Key Takeaways

2026 IT spending growth expectations tick up slightly

What is your estimated percentage (%) growth for the External IT Spending portion of your IT Budget for the full year 2026 vs. 2025?

Exhibit 1: External IT spending growth expectations over time



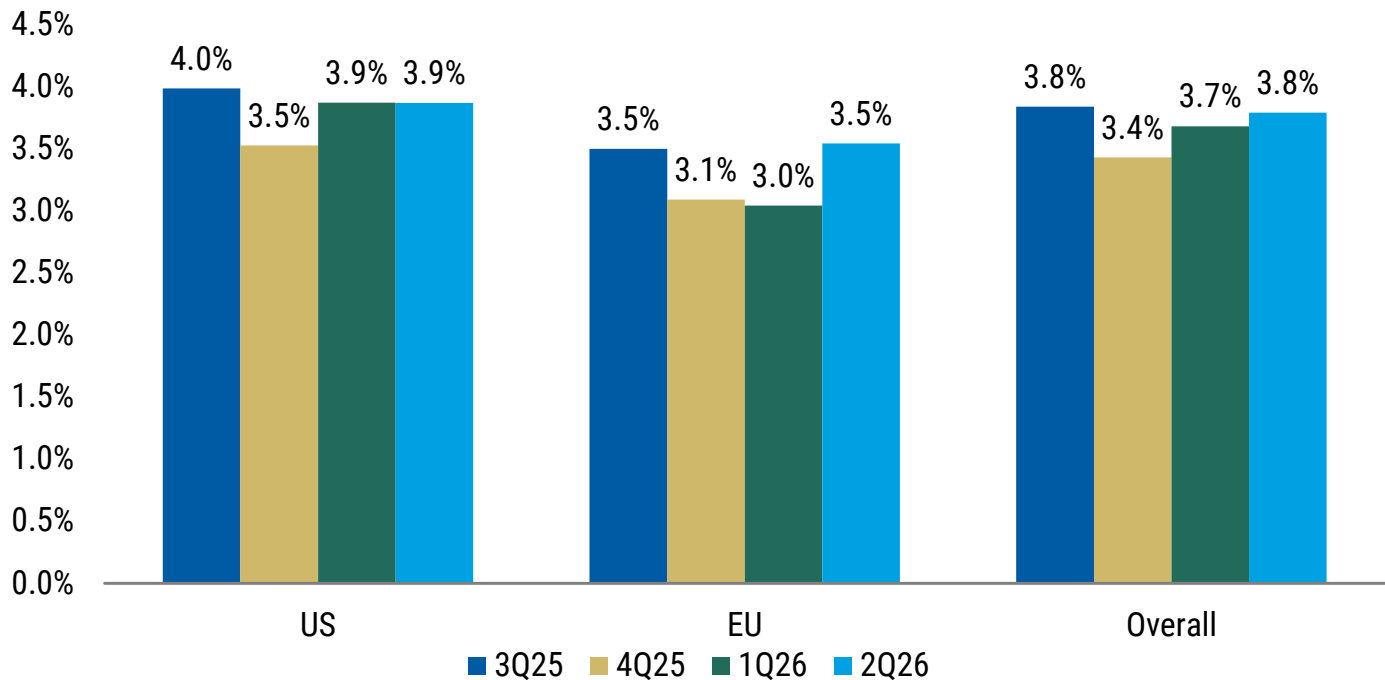
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data). Note: 3Q15 CIO survey reflects data from a different survey vendor.

- 2026 CIO IT budget growth expectations increased slightly to +3.8% (up from 3.7% in 1Q26).
- The 1-year IT budget revision up-to-down (UTD) ratio (which measures the % of CIOs expecting an increase vs. those expecting a decrease in spending) increased to 1.2x (vs. 0.8x at 1Q26). This implies that more CIOs expect budget revisions to tilt to the upside (albeit slightly) in the near term than to the downside. We note that this is the first time since the 1Q24 survey that this ratio has been >1.0x. See [Exhibit 10](#).
- Looking ahead into the next 3 years, c. 42% of CIOs expected IT spending to increase as a % of revenue, up from 40% in 1Q26. In contrast, 15% of surveyed CIOs expected it to decrease (flat vs 1Q26), implying a LT spending up-to-down ratio (% increase / % decrease) of 2.8x (slightly up from 2.7x in 1Q26). See [Exhibit 13](#).

2026 IT budget growth expectations flat in the US, but continue to outpace EU growth

Exhibit 2: 2026 External IT spending growth expectations by region

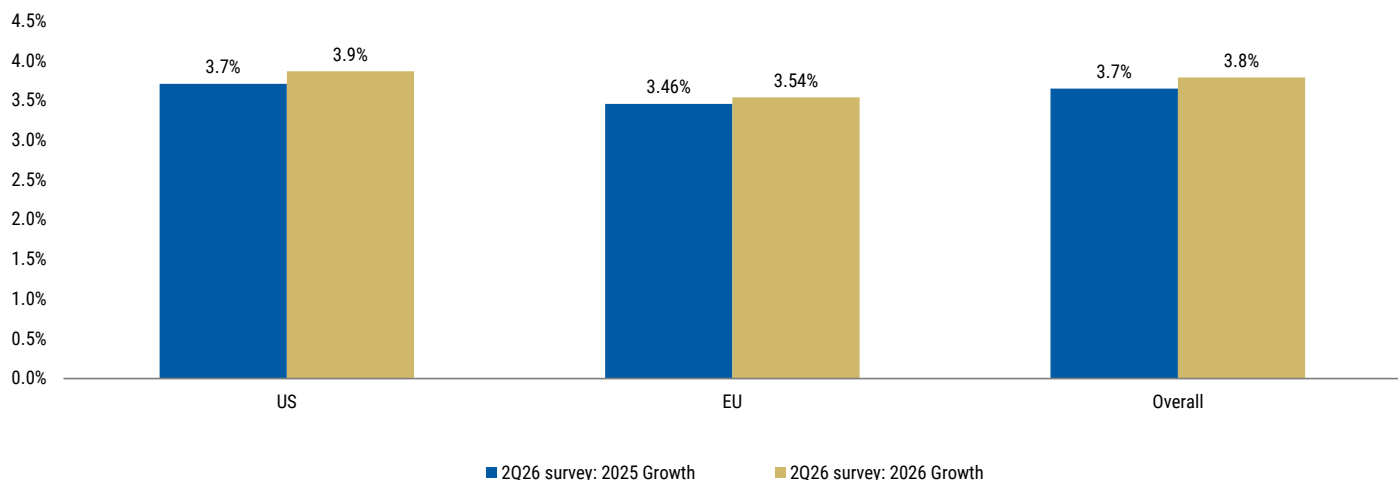
2026 External IT Spending Growth Expectations by Region



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 3: 2026 vs 2025 external IT spending growth expectations by region

2026 vs. 2025 External IT Spending Growth Expectations by Region



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data).

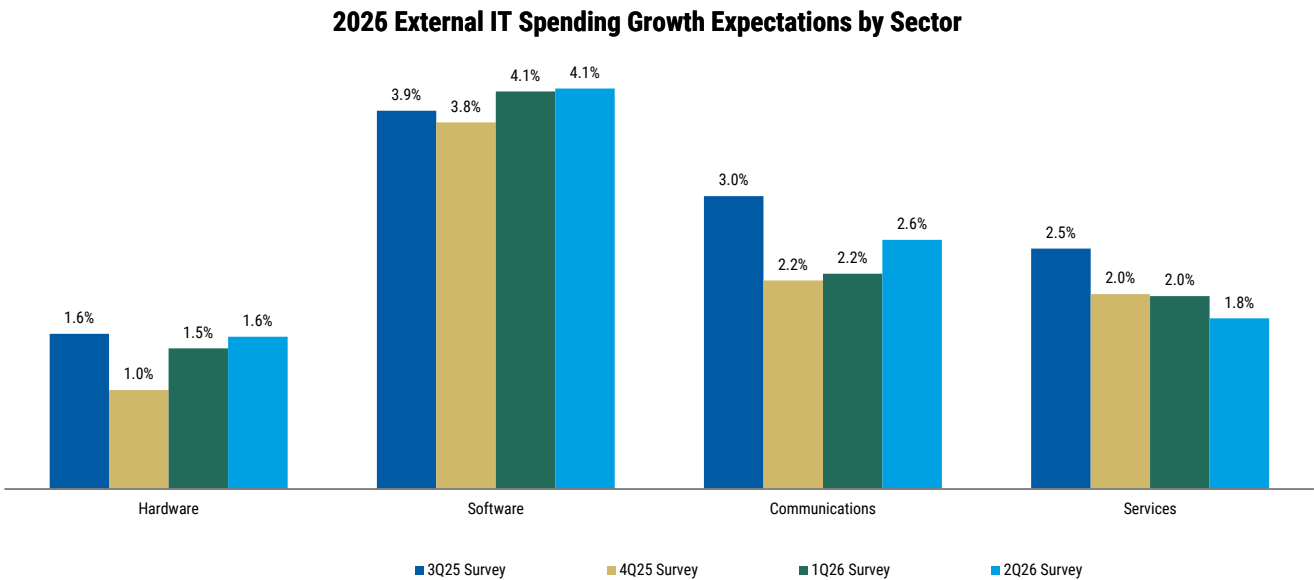
- 2026 IT spending growth in the US is expected to continue to outpace the EU, as US CIOs expected to grow their budgets by 3.9% y/y vs. 3.5% in the EU. This represents flat budget growth expectations in the US, but a c. 50bps increase in

the EU compared to our 1Q26 survey.

- Relative to reported 2025 growth, 2026 US IT budget growth expectations are c. 20bps higher (3.9% vs. 3.7% in 2025), while EU IT budget growth is expected to be broadly flat 2026 (3.5%) vs. 2025 (3.5%).

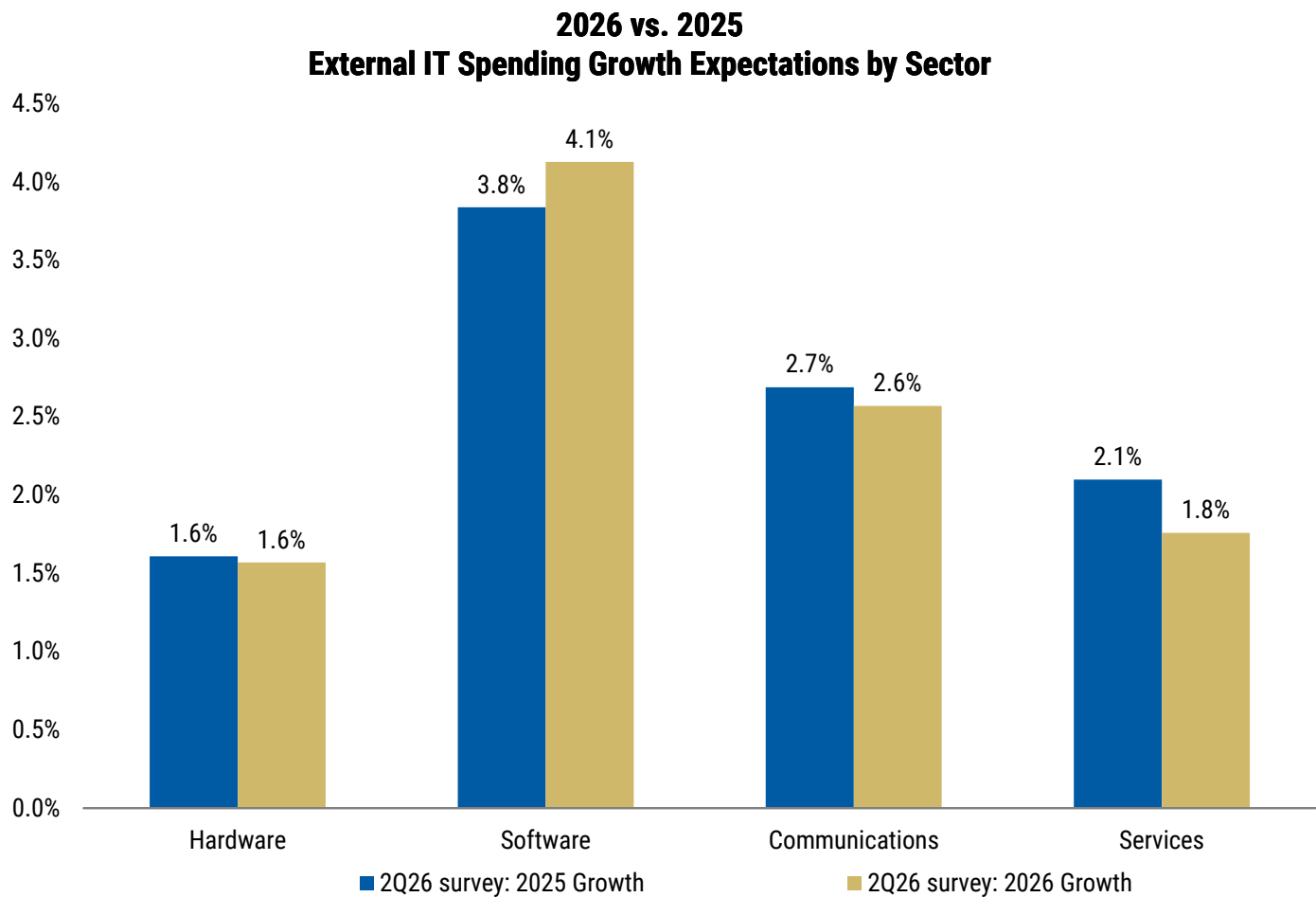
Growth expectations increased sequentially in Hardware and Communications vs. last quarter, but decreased in Services; Software is expected to remain the fastest growing sector in 2026

Exhibit 4: 2026 IT spending growth expectations by sector



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 5: 2026 vs. 2025 IT spending growth expectations by sector

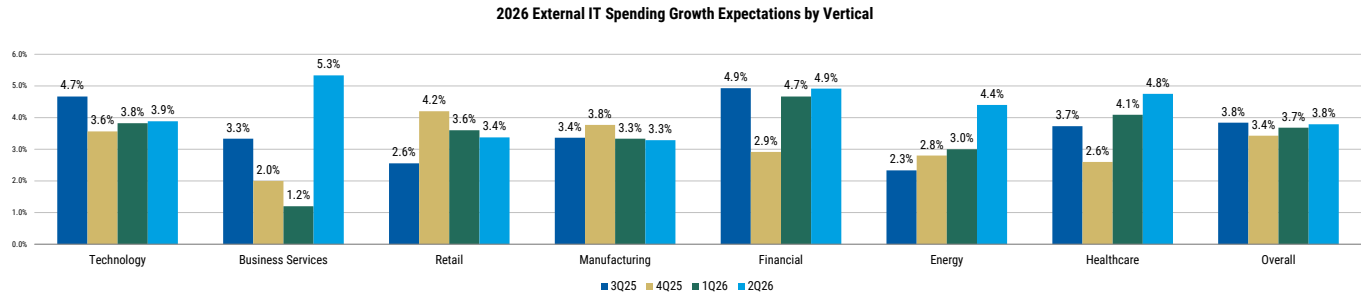


Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

- In line with previous survey results, Software is the fastest growing sector at +4.1% for 2026, flat vs. 1Q26. Hardware and Communications 2026 growth expectations are both up by c. +10bps and +40bps respectively (to 1.6% and 2.6%). Services growth expectations decreased vs 1Q26 by c. -20bps.
- 2026 IT budget growth expectations were higher vs. 2025 growth for Software by c. +30bps, lower for Communications (by c. -10bps) and Services (by c. -30bps), but flat for Hardware.

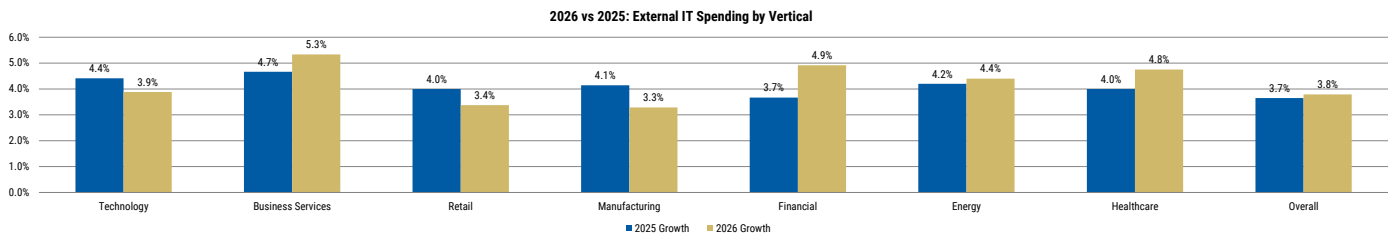
Business Services expected to see the highest growth in IT spending in 2026

Exhibit 6: 2026 external IT spending growth by vertical



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data).

Exhibit 7: 2026 vs 2025 external IT spending growth by vertical

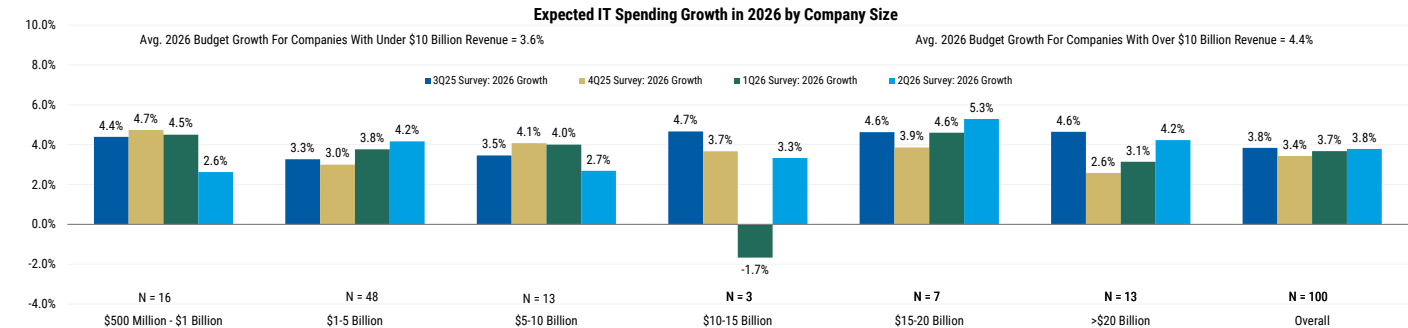


Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

- IT spending is expected to grow across all verticals shown in 2026. The highest growth is expected in Business Services (+5.3%) – though we note this is a very small sample size (n=3). This is followed by Financial (+4.9%, n=12), Healthcare (+4.8%, n=8), Energy (+4.4%, n=5), and Technology (+3.9%, n=17).
- Key movers for 2026 growth expectations include Financial (to 4.9% in 2026 vs 3.7% in 2025), Healthcare (to 4.8% in 2026 vs 4.0% in 2025), and Manufacturing (to 3.3% in 2026 vs 4.1% in 2025).

2026 IT spending growth expected to be higher in larger companies

Exhibit 8: 2026 Expected External IT Spending Growth by Company Size



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

- Our 2Q26 CIO survey results suggest that 2026 budgets are expected to grow more slowly among companies with less than \$10bn in annual revenue (+3.6%) vs. those with over \$10bn in annual revenue (+4.4%). Some variance exists among the larger companies, with the \$15-20bn revenue companies expecting materially higher IT spending growth than the other >\$10bn categories. We also observe variance among the smaller companies, with the \$1-5bn category expecting the fastest growth (+4.2%) and the \$0.5-1bn category the slowest (+2.6%). However, we note the relatively low sample size for some of these categories.

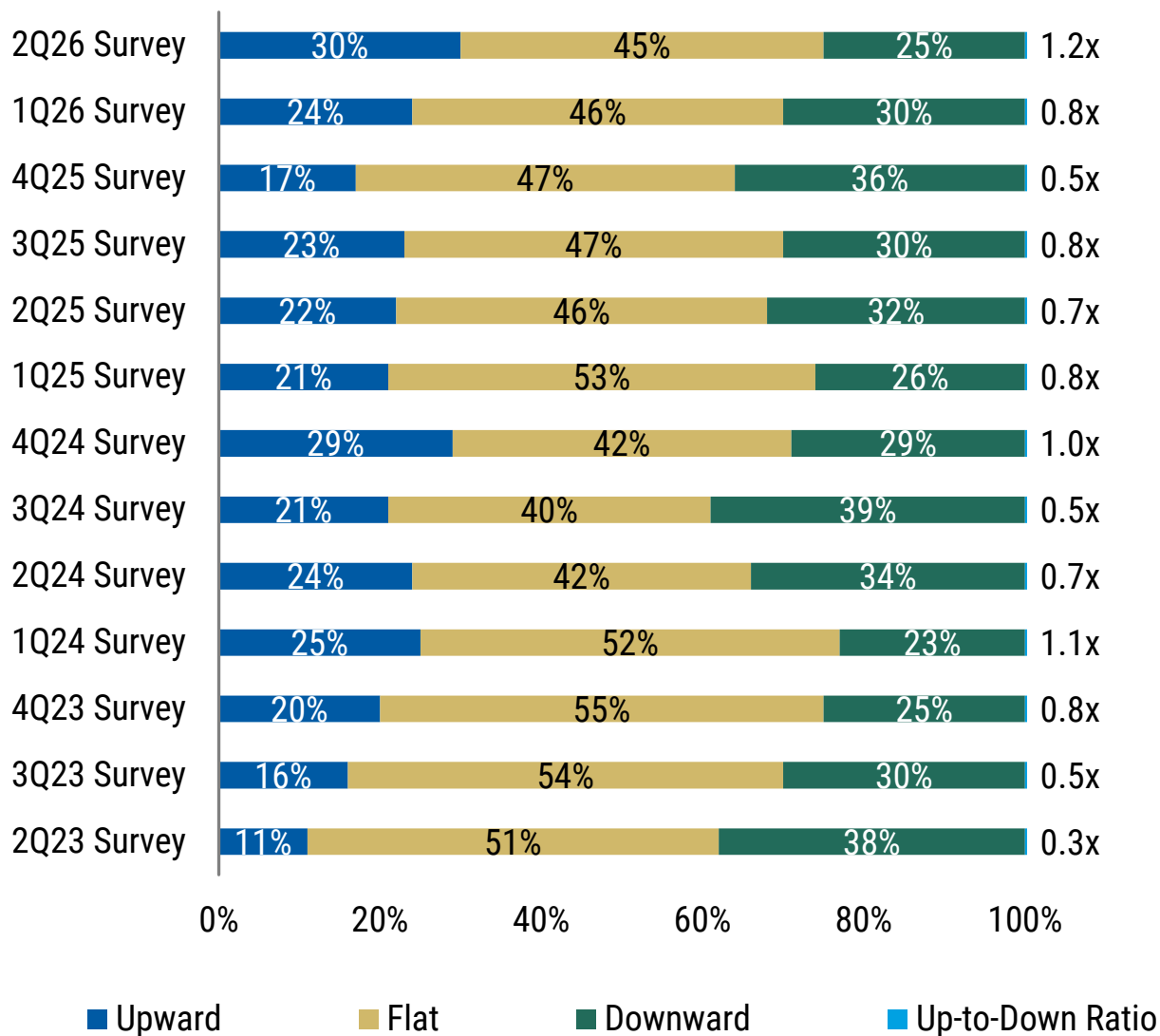
2026 IT budget revision up-to-down ratio came in >1x at 1.2x, suggesting that slight upwards revisions are likely in 2H

What are your expectations regarding potential future revisions to your current 2026 IT budget plans?

Exhibit 9: Expectations of potential IT budget revisions

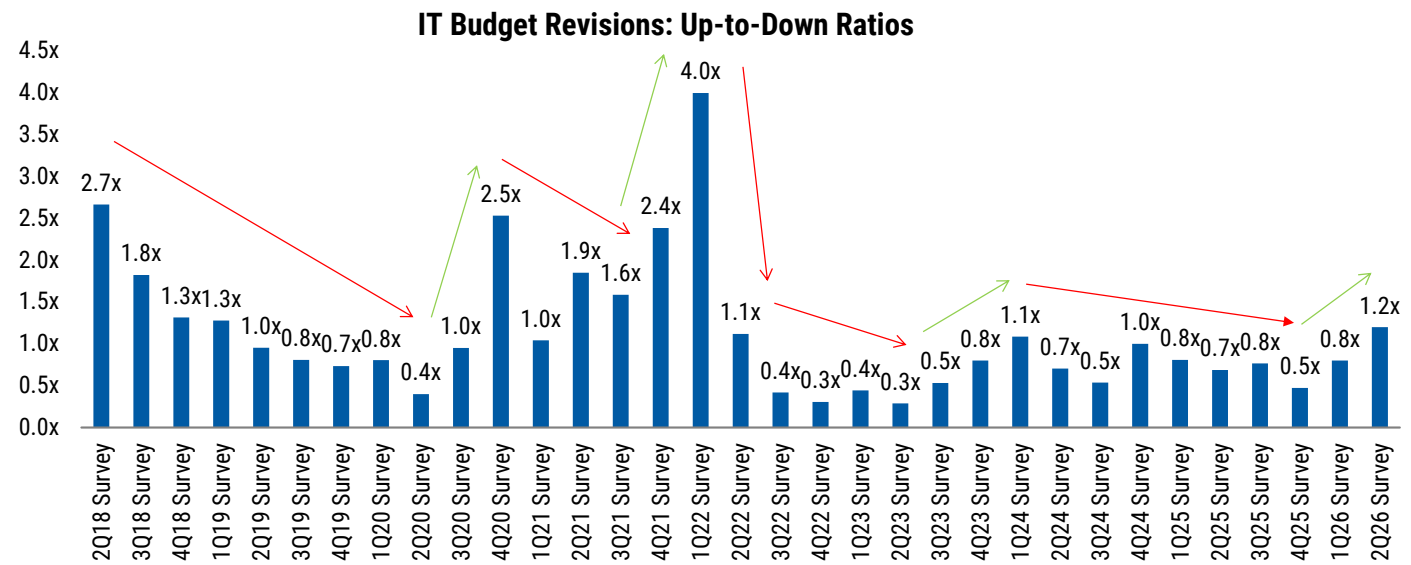
Expectations of Potential IT Budget Revisions

Up-to-Down Ratio



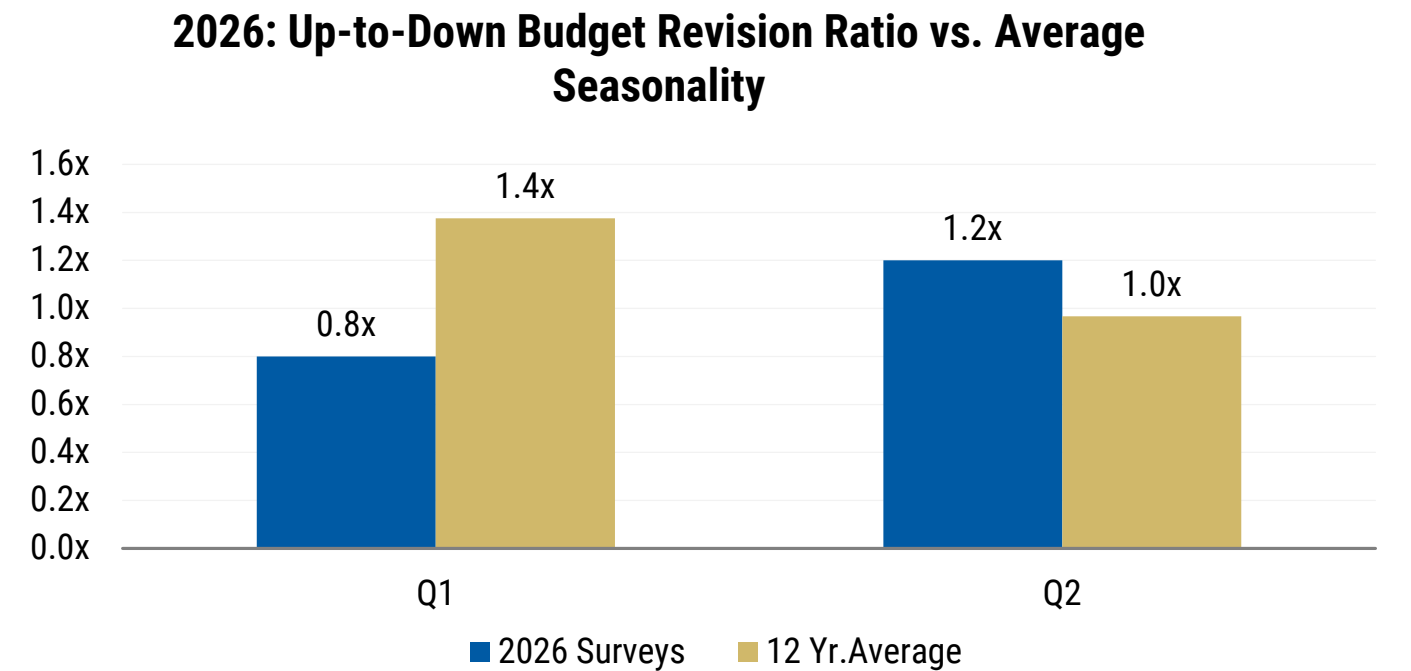
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 10: IT budget revisions: up-to-down ratios



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 11: Up-to-down budget revision ratio vs average seasonality



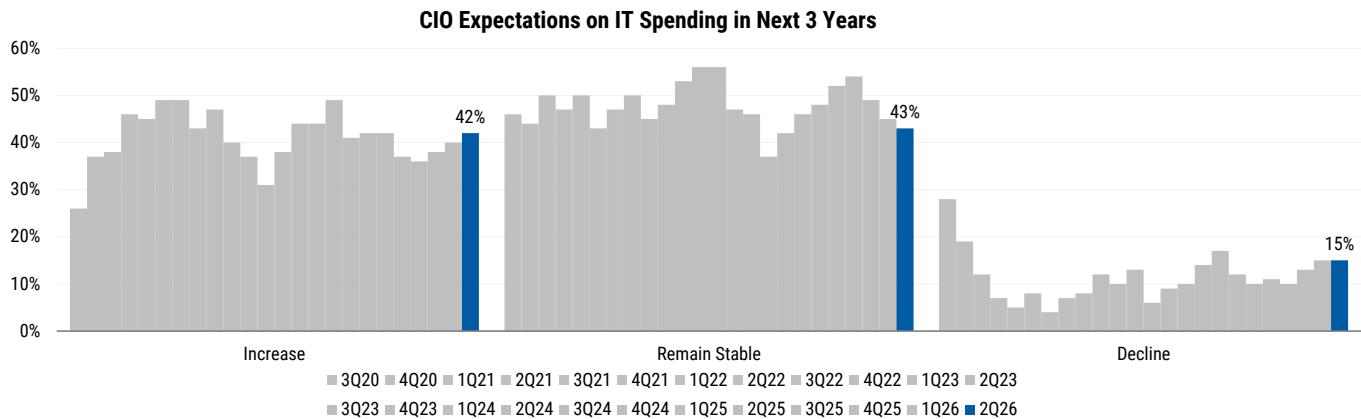
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

- CIO revision expectations increased vs. 1Q26, with the one-year up-to-down IT budget revision ratio turning >1x, to 1.2x (from 0.8x in 1Q26). This means that more CIOs (30% of those surveyed) expect to revise their 2026 IT budgets higher than the number of CIOs expecting to revise their budgets lower (i.e. 25%). This level (1.2x) is also above the 12-year 2Q average of 1.0x.

LT spending growth expectations slightly up vs 1Q26

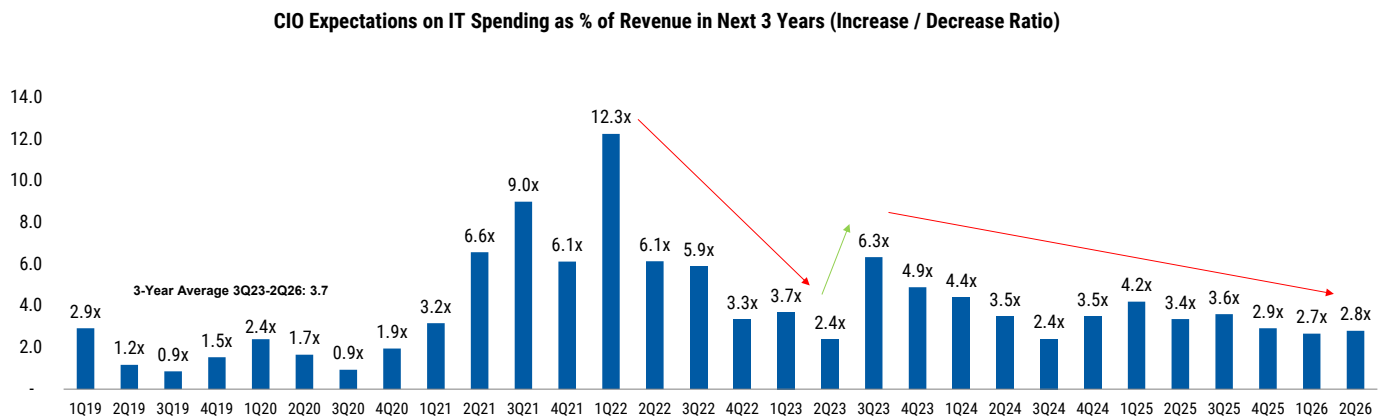
Over the next three years, how do you expect IT spending as a % of total revenues to change within your organisation?

Exhibit 12: CIO expectations on IT spending in next 3 years



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 13: CIO expectations on IT spending in next 3 years up-to-down ratio



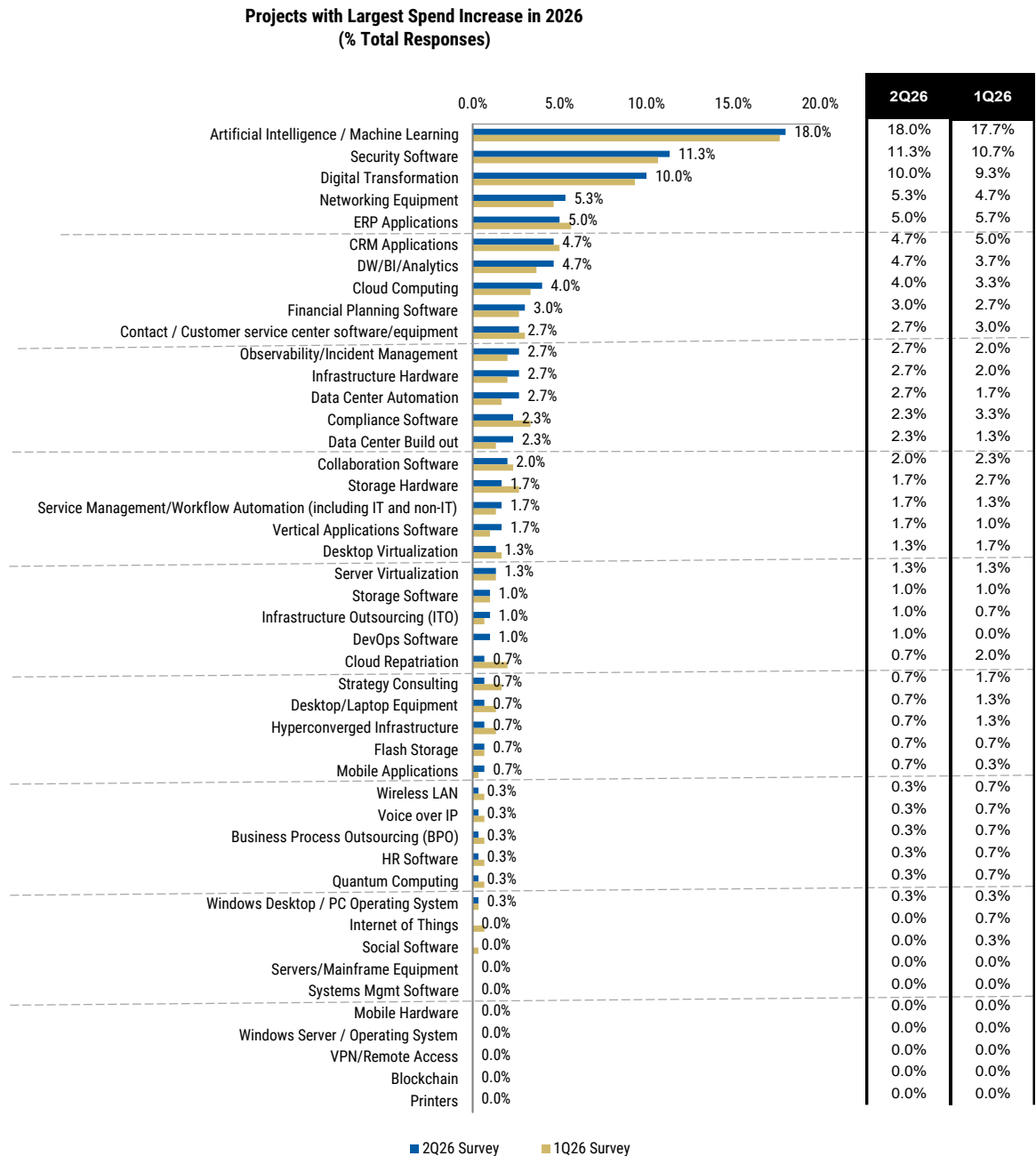
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data).

- The proportion of CIOs expecting budgets to increase (as a % of total revenue) over the next 3 years increased to c. 42% (vs 40% in 1Q26). The percent of CIOs expecting budgets to decline over the next 3 years was unchanged vs 1Q26 at c. 15%.
- This implies that the long-term up-to-down ratio has increased (albeit slightly) this quarter to c. 2.8x (up from c. 2.7x in 1Q26). The ratio remains comfortably >1x, illustrating potential upward revisions to long-term IT spending as a percentage of revenue over the next 3 years.

Artificial Intelligence remains at the top of CIOs' list of spending priorities

Which three external IT Spending projects will see the largest percentage increase in spending in 2026?

Exhibit 14: Projects with largest spend increase in 2026 (% total responses)



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

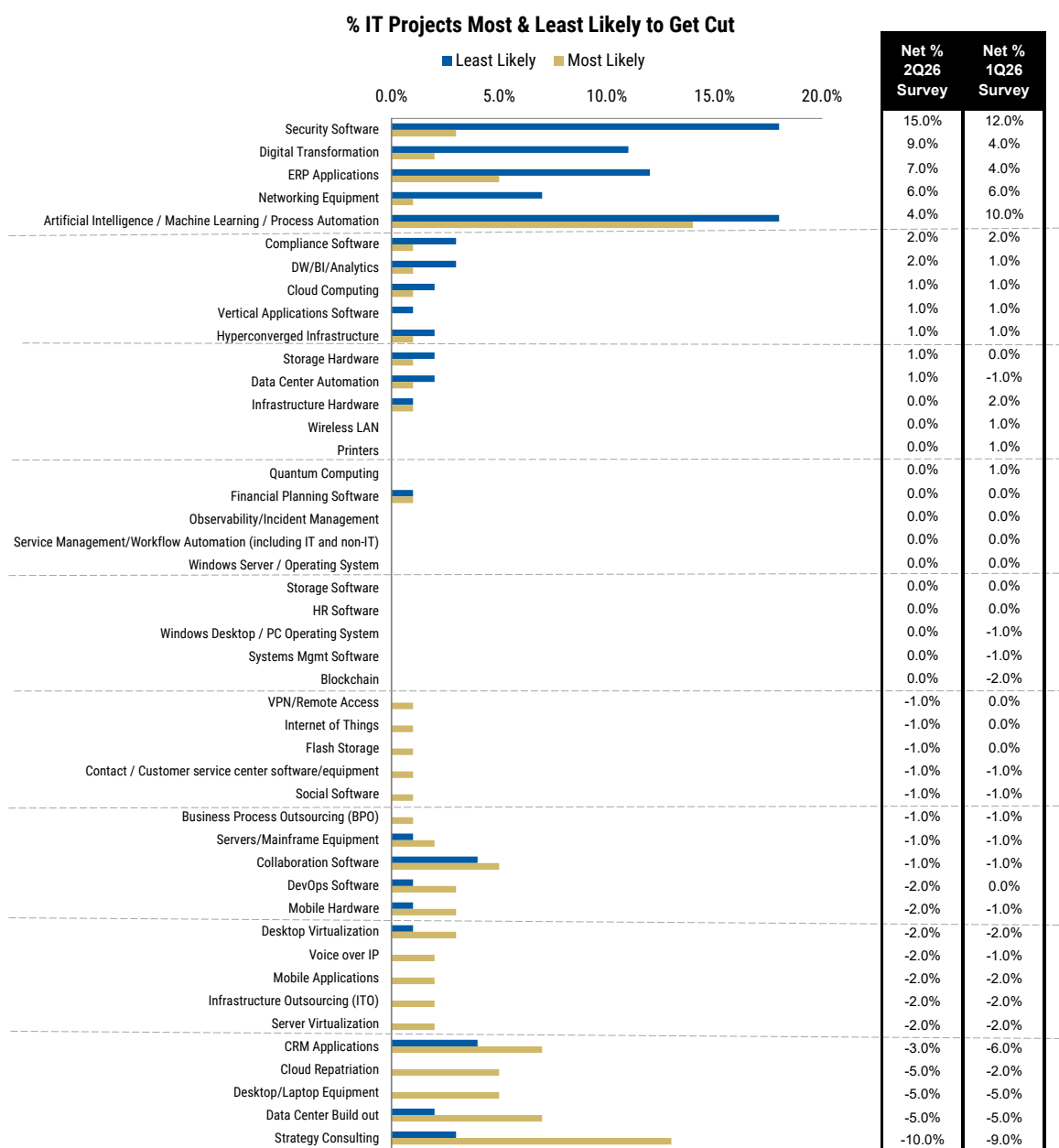
- Artificial Intelligence / Machine Learning remained the top priority for CIOs, even increasing by c. 30bps since 1Q26.
- The other top 2026 CIO priorities in 2Q26 are 2) Security Software (11.3%), 3) Digital Transformation (10.0%), 4) Networking Equipment (5.3%), and 5) ERP

Applications (5.0%). Despite falling back a bit since 1Q26, ERP Applications remains in the top 5 priorities for spend increase in 2026, which we view as a positive for **SAP**.

Security Software, Digital Transformation, and ERP Applications are the Top 3 Most Defensive Projects

If the economy worsens significantly in 2026, what spending project is most likely to get cut? What spending project is least likely to get cut?

Exhibit 15: IT projects least and most likely to be cut in case of an economic downturn



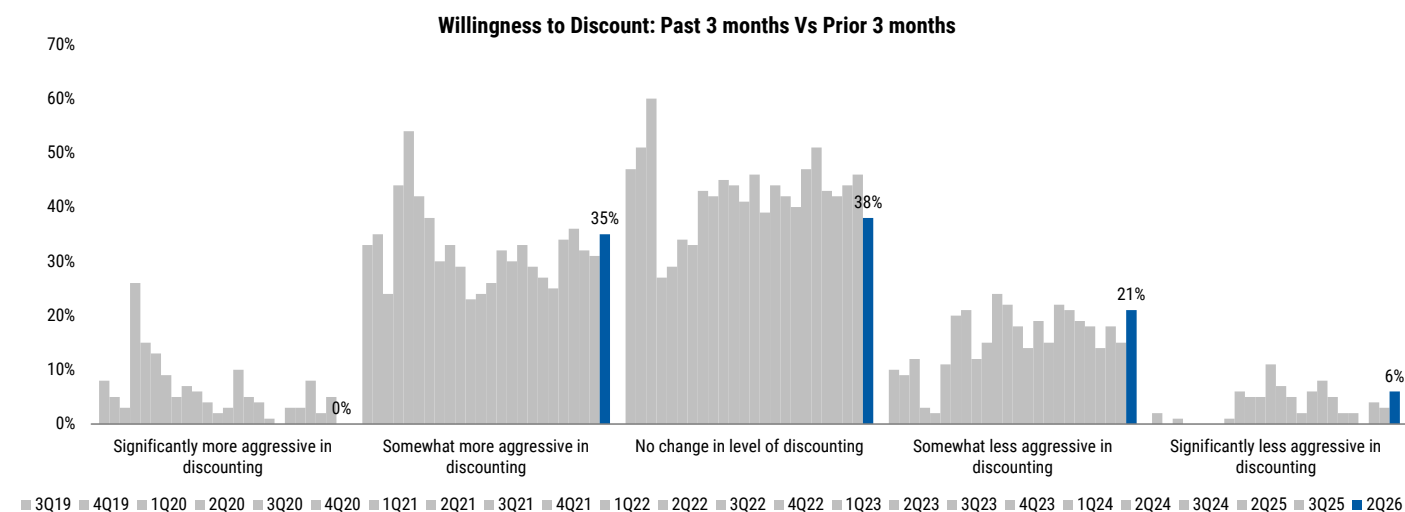
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data). Note: Projects are ranked based on the percentage of CIOs indicating the project is most likely to be cut, adjusted for the percentage of CIOs indicating the project is least likely to get cut.

- According to our surveyed CIOs, the top 5 most defensive areas of IT spending were 1) Security Software (15%), 2) Digital Transformation (9%), 3) ERP Applications (7%), 4) Networking Equipment (6%), and 5) Artificial Intelligence/ Machine Learning/Process Automation (AI/ML/PA; 4%).
- The least defensive areas are in Strategy Consulting (-10.0%), Data Center Build Out (-5.0%), and Desktop/Laptop Equipment (-5.0%), indicating that they are most likely to be cut in a downturn.
- We note that AI/ML/PA's defensiveness dropped c. 6ppt since 1Q26 – down to the 5th position in this survey. Combined with the relatively low defensibility ranking for data-center build-out, this suggests that spending on AI-related projects and infrastructure may face greater scrutiny and could be reprioritised if macroeconomic conditions weaken.
- We note that ERP project defensiveness increased by 3pps to 7% this quarter, a reassuring read for SAP, highlighting the defensiveness of the ERP upgrade cycle.

Vendors' perceived willingness to discount slightly decreases

How do you perceive technology vendors' willingness to discount in the past three months versus prior three months (i.e. in 2Q26 versus 1Q26)?

Exhibit 16: Technology vendors' willingness to provide discount in the past 3 months vs prior 3 months



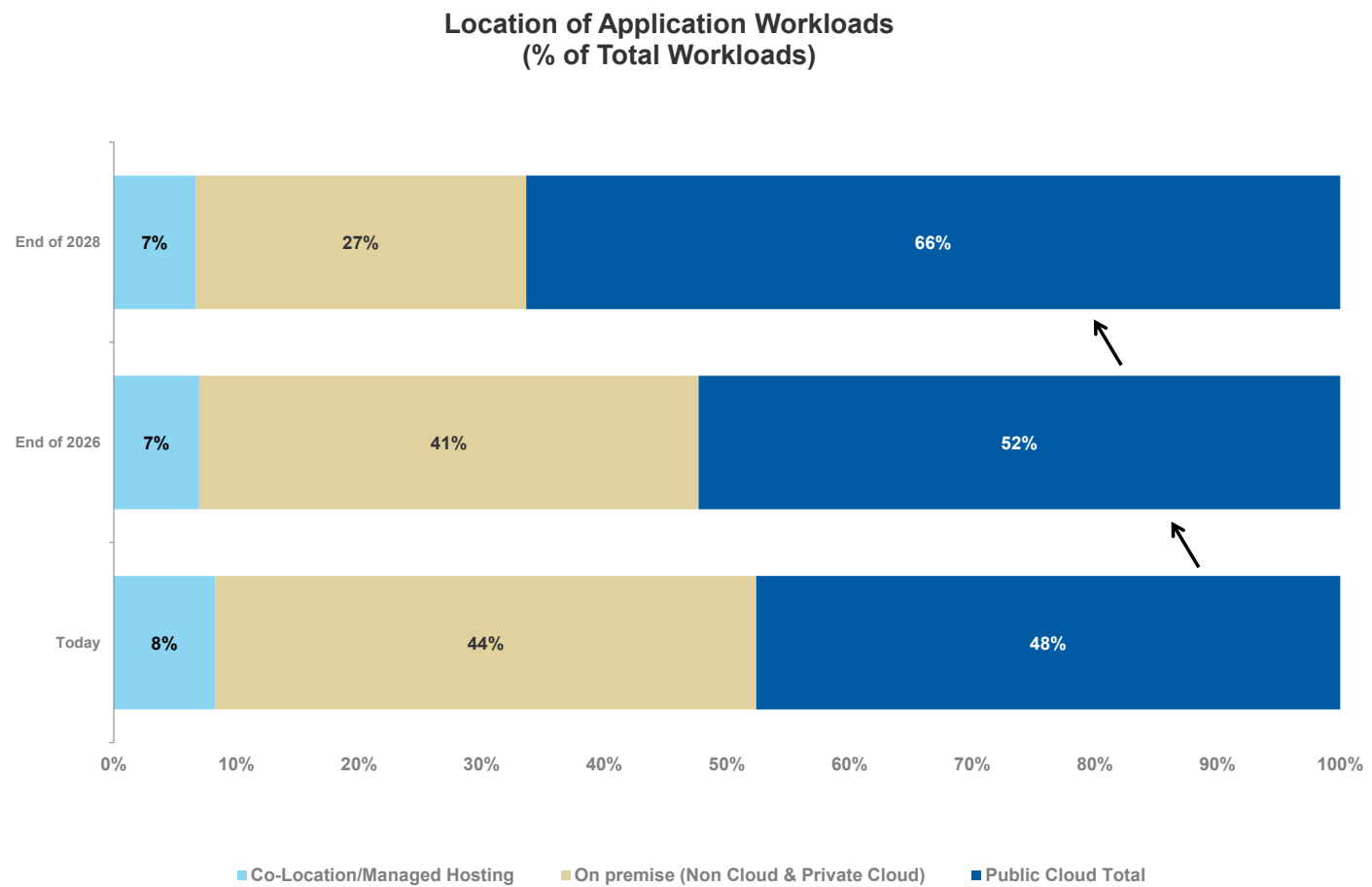
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data).

- Overall, CIOs say vendors are less inclined to discount relative to our 3Q25 survey results. Approximately 35% said that vendors are more aggressive in discounting (vs. 36% in 3Q25), with c. 27% of CIOs mentioning that vendors are less aggressive in discounting (vs. 18% in 3Q25).

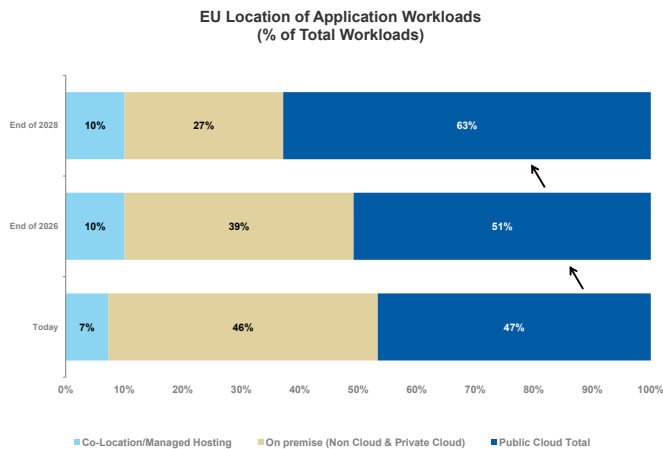
66% of total workloads expected to be in the public cloud by the end of 2028

What percentage of your application workloads reside in each of the following areas today? What percentage do you expect to reside in each of these four areas by the end of 2026 and 2028?

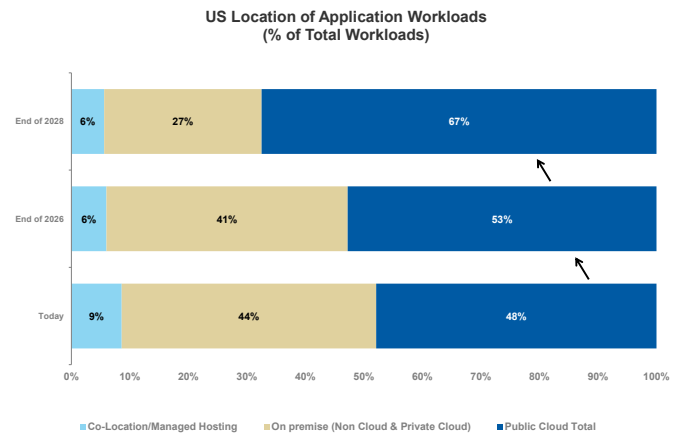
Exhibit 17: Location of application workloads (% of total workloads)



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data).

Exhibit 18: EU Location of application workloads (% of total workloads)

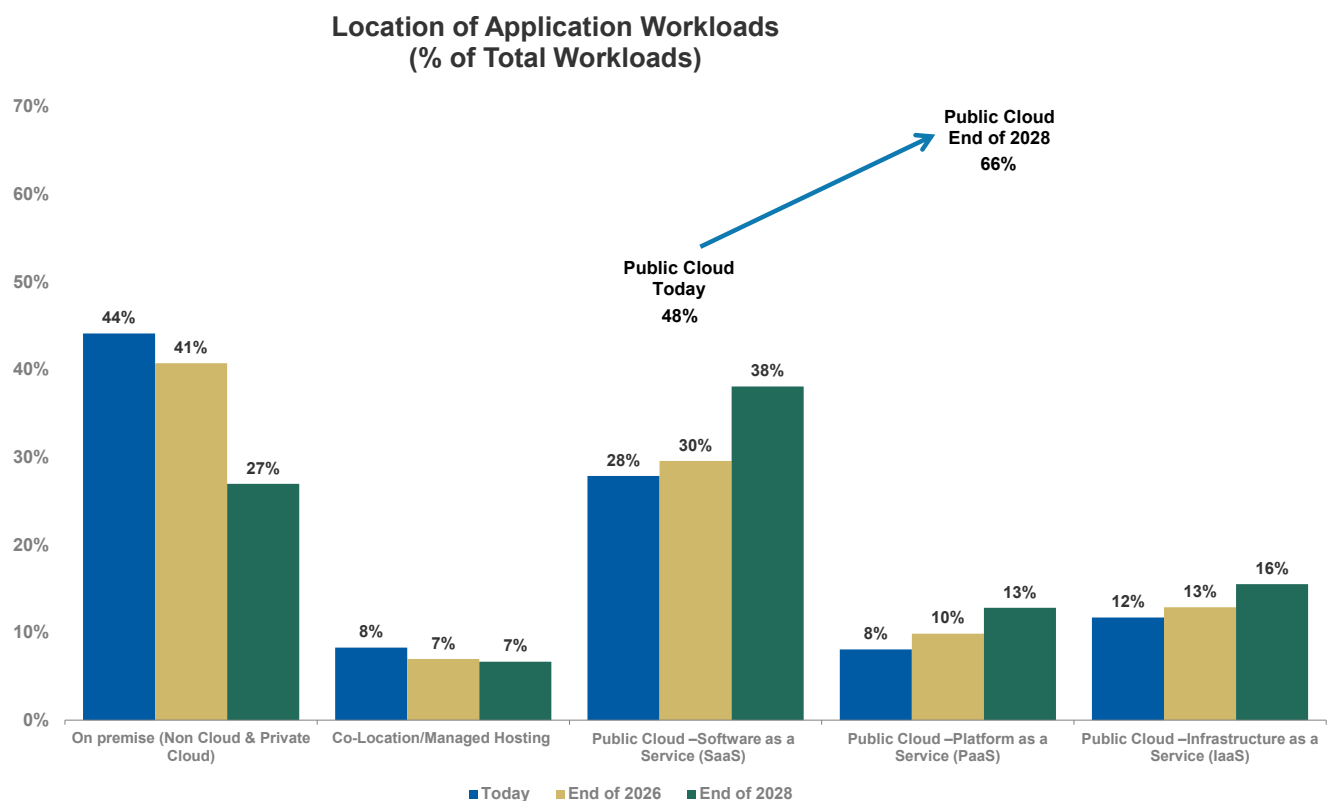
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 19: US Location of application workloads (% of total workloads)

Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 20:

Location of application workloads split by non-public and public cloud (SaaS, PaaS, IaaS)



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data). N.B. Totals may not sum due to rounding.

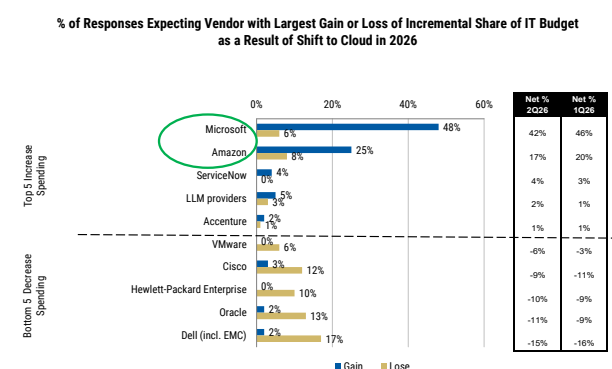
- Current workload in the public cloud is at c. 48%. CIOs estimated that public cloud will rise to c. 52% of the workloads by the end of 2026, and c. 66% by the end of 2028. Co-Location/Managed Hosting is expected to be slightly down by end of 2028 (c. 7%) versus today at c. 8%.

- Regionally, public cloud adoption is currently similar in the US and EU, at c. 48% and c. 47% respectively. By the end of 2028, the % of total workloads in the public cloud is expected to increase to 67% in the US and 63% in the EU. Co-Location/Managed Hosting is expected to increase in the EU by the end of 2028, to c. 10% (from c. 7% today), while it is expected to decrease in the US to c. 6% (from c. 9% today).
- Breaking down cloud workloads in [Exhibit 20](#), on-premise and co-location/managed hosting account for approximately 52% of total application workloads today, but is expected to drop to c. 34% by 2028. Of the increase in public cloud through to 2028, public cloud SaaS is expected to make up the biggest proportion (c. 38% of total workloads), followed by IaaS (c. 16%), and finally PaaS (c. 13%).

Microsoft and Amazon Remain Greatest Beneficiaries from Increased Spend on Shift to Cloud

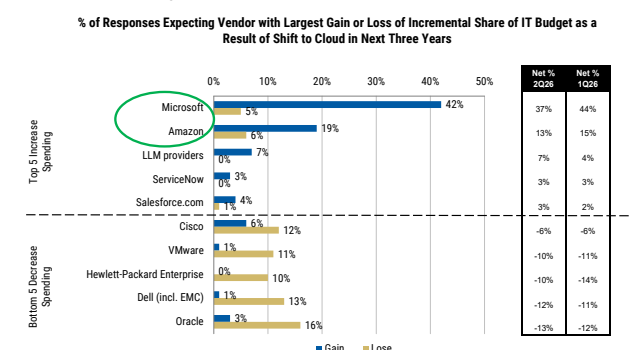
As you shift workloads from on-premise to the cloud, which of these vendors do you expect to gain/(lose) the largest incremental percentage of your IT budget in 2026? Which do you expect gain/(lose) the largest percentage of your budget in the next three years?

Exhibit 21: % of responses expecting vendor with largest gain or loss of incremental share of IT budget as a result of shift to cloud in 2026



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 22: % of responses expecting vendor with largest gain or loss of incremental share of IT budget as a result of shift to cloud in next 3 years



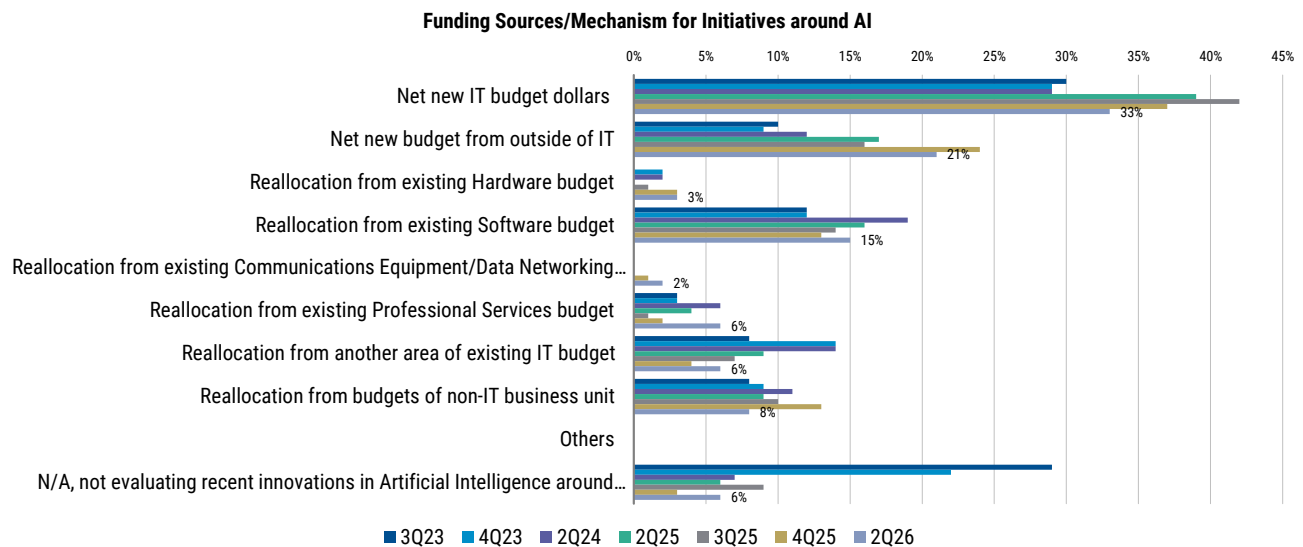
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

- Similar to previous surveys, Microsoft (#1) and Amazon (#2) stand to benefit the most from the shift to cloud workloads. Microsoft is covered by Josh Baer, and Amazon by Brian Nowak.
- On the other hand, Dell (covered by Erik Woodring), Oracle (covered by Sanjit Singh), and Hewlett-Packard Enterprise (covered by Erik Woodring) are expected to see the largest share loss from the shift to cloud both in 2026 and over the next 3 years.

54% of CIOs indicated that the recent innovations are funded using net new budget dollars

If evaluating or using recent innovations in Artificial Intelligence around Large Language Models (e.g. GPT-4) or Generative Design (e.g. Dall-e), which of the following best describes how these initiatives are funded?

Exhibit 23: How LLM / generative design initiatives are funded

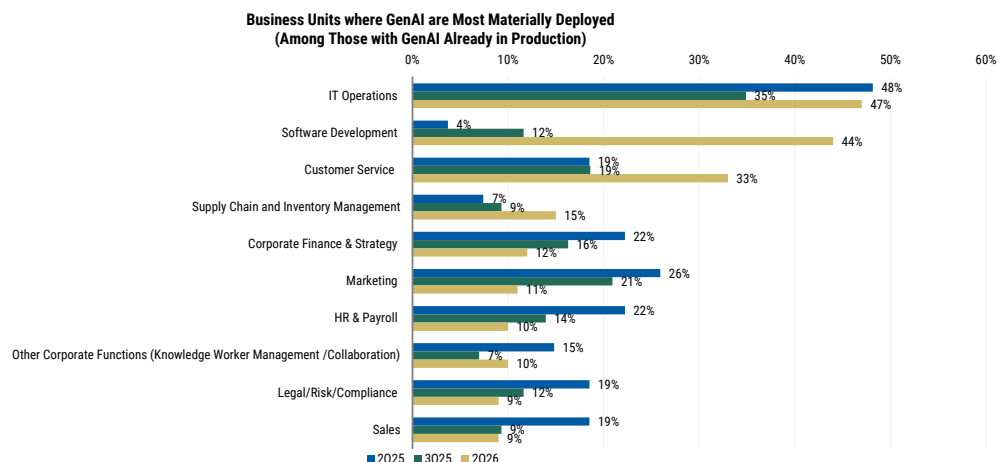


Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

- In terms of funding, 54% of CIOs surveyed reported that these recent innovations in AI around Large Language Models (e.g. ChatGPT) or Generative Design (e.g. Dall-e), are funded using net new budget dollars, which is down from 4Q25 at 61%. Meanwhile, 40% indicated that they reallocated budgets from different business areas to fund initiatives (vs. 36% in 4Q25).

What change in the respective cost base have you seen from Generative AI/LLM usage over the last 12 months within the two business units where Generative AI/LLMs is deployed most materially across your organization?

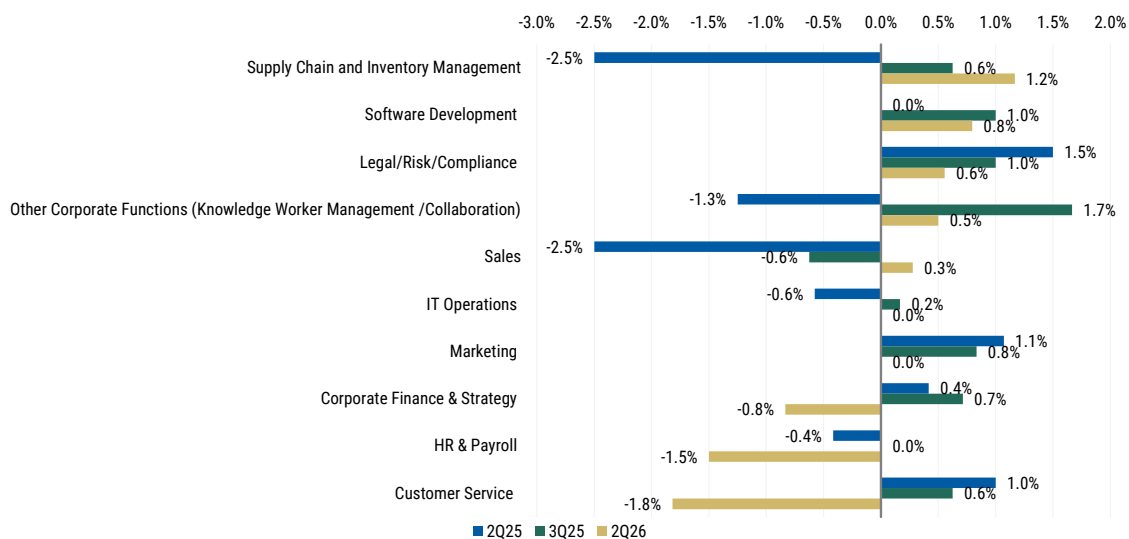
Exhibit 24: IT Operations and Software Development are the most popular departments for GenAI roll-out



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 25: Among departments where GenAI is deployed, Customer Service and HR & Payroll departments have seen the most material cost base savings

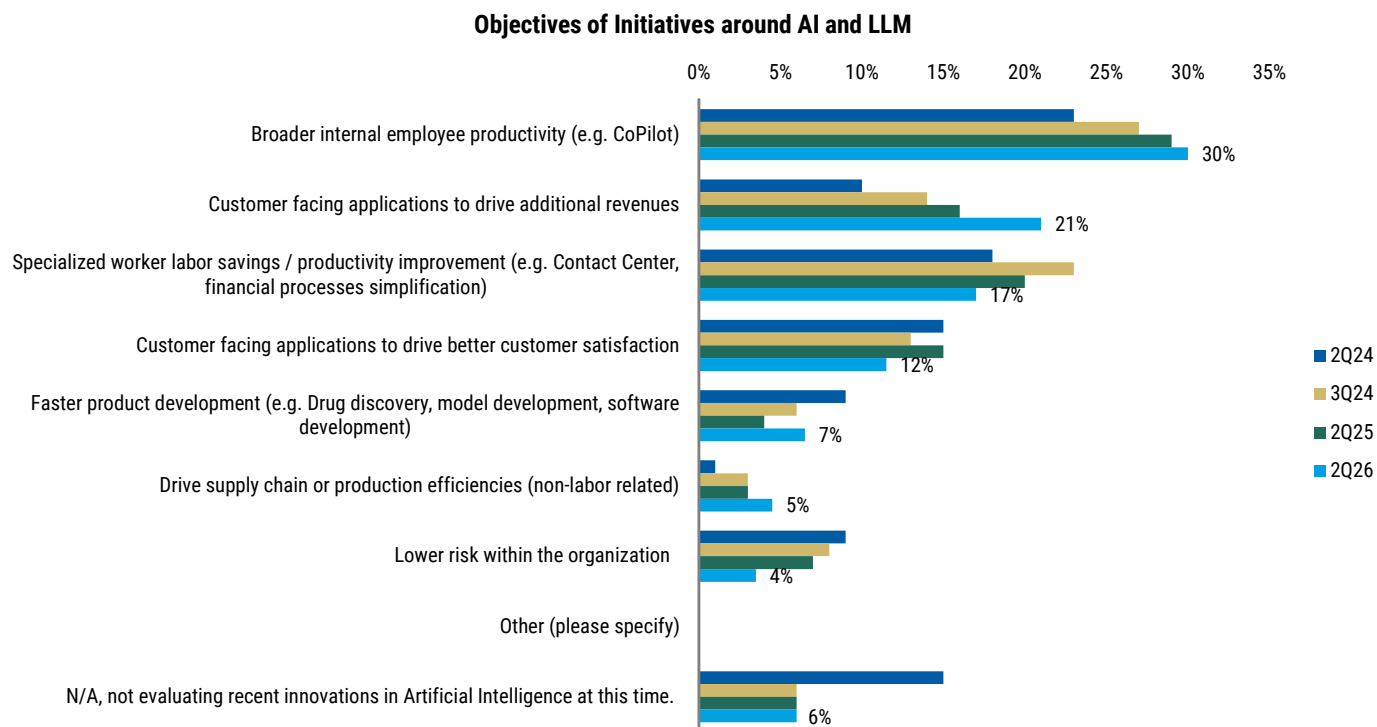
**Average % Change in Cost Base for Business Units where GenAI are Most Materially Deployed
(Among Those with GenAI Already in Production)**



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

- For companies that have already deployed GenAI throughout their organisation, IT Operations is the most prevalent business unit for roll-out (c. 47% of respondents), followed closely by Software Development (at 44%). In terms of change in cost base, Customer Service and HR & Payroll have seen the most material change, at an average of -1.8% and -1.5% respectively.

What are the top 2 objectives of your initiatives around recent innovations in Artificial Intelligence and Large Language models?

Exhibit 26: CIO objectives around recent innovations in Artificial Intelligence and Large Language models

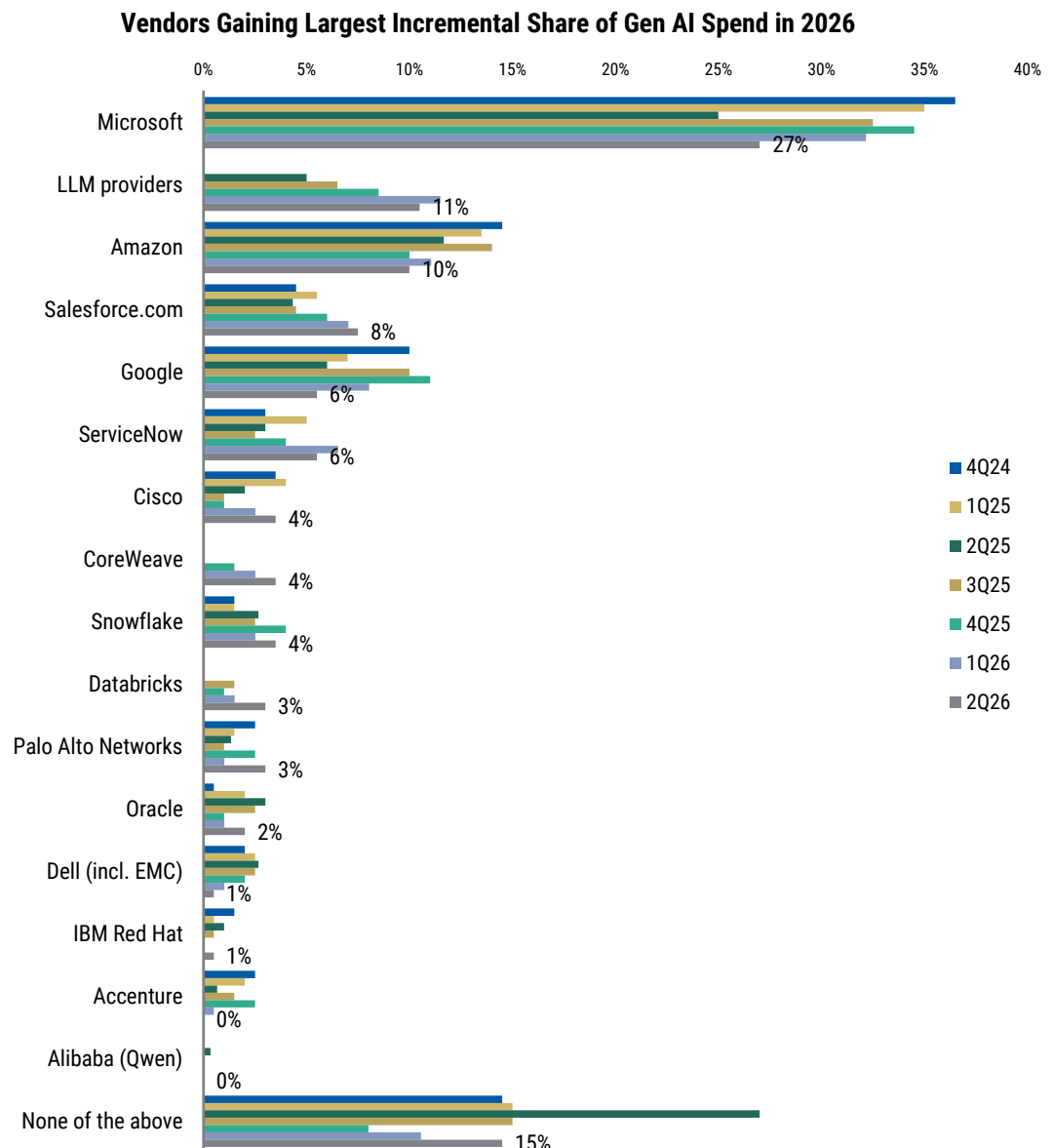
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data). Note: Percentages are of total responses.

- 30% of CIOs reported that their objective was to improve broader internal employee productivity through the utilisation of GenAI and LLMs (vs. 29% in 2Q25). 21% cited customer-facing applications to drive additional revenue, while a further 12% cited applications intended to improve customer satisfaction, and 17% were around worker labour savings / productivity improvement. The survey results reflected less focus around lowering risk within the organization (4% in 2Q26) or driving non-labour related supply chain or production efficiencies (5% in 2Q26).

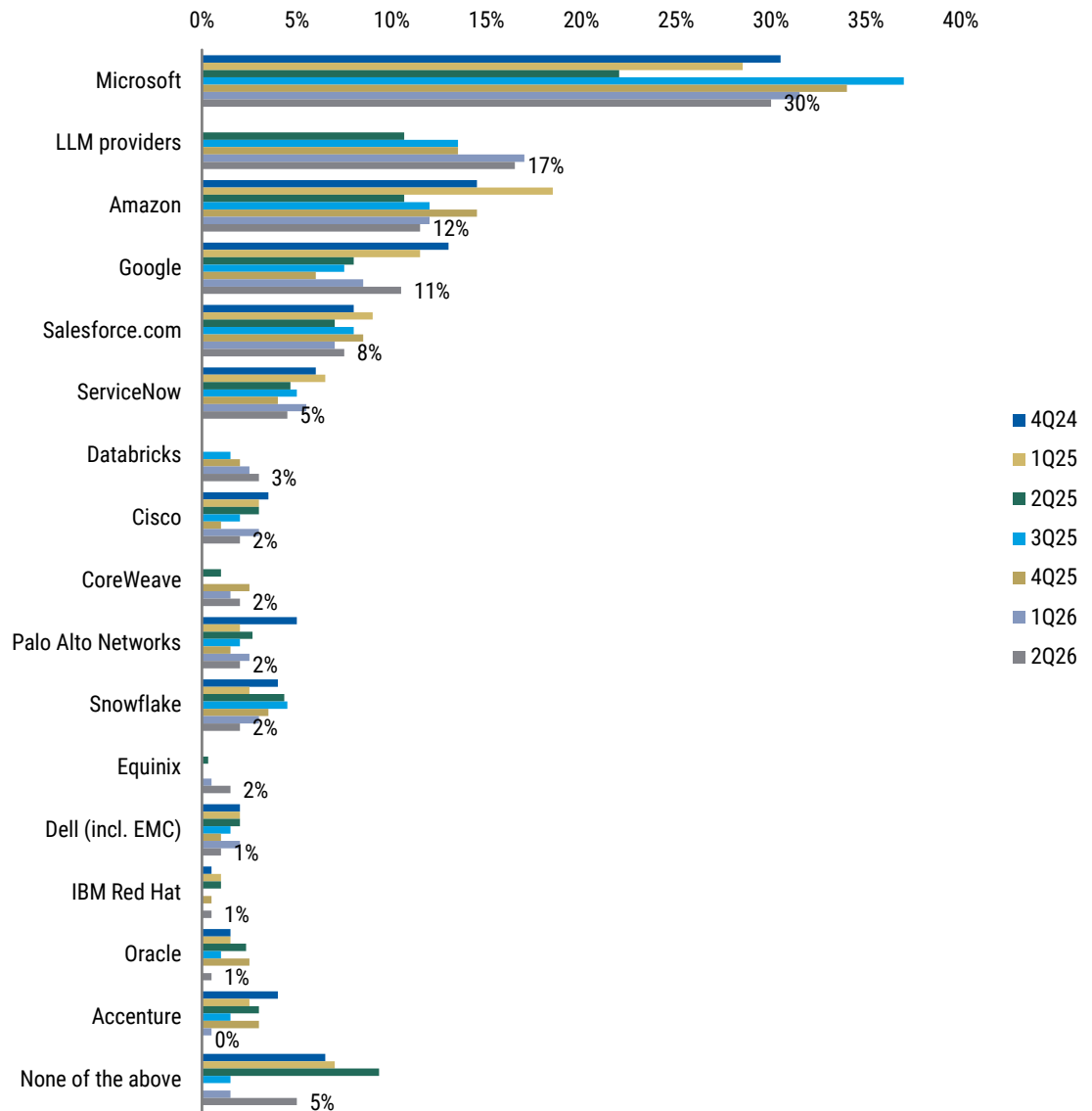
Microsoft Among Top Vendors to Gain AI Spend Share in 2026 and Beyond

Which three vendors do you expect to gain the largest incremental share of Gen AI Spend at your company in 2026? And over the next three years?

Exhibit 27: Vendors to gain largest incremental share of GenAI spend in your company in 2026



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

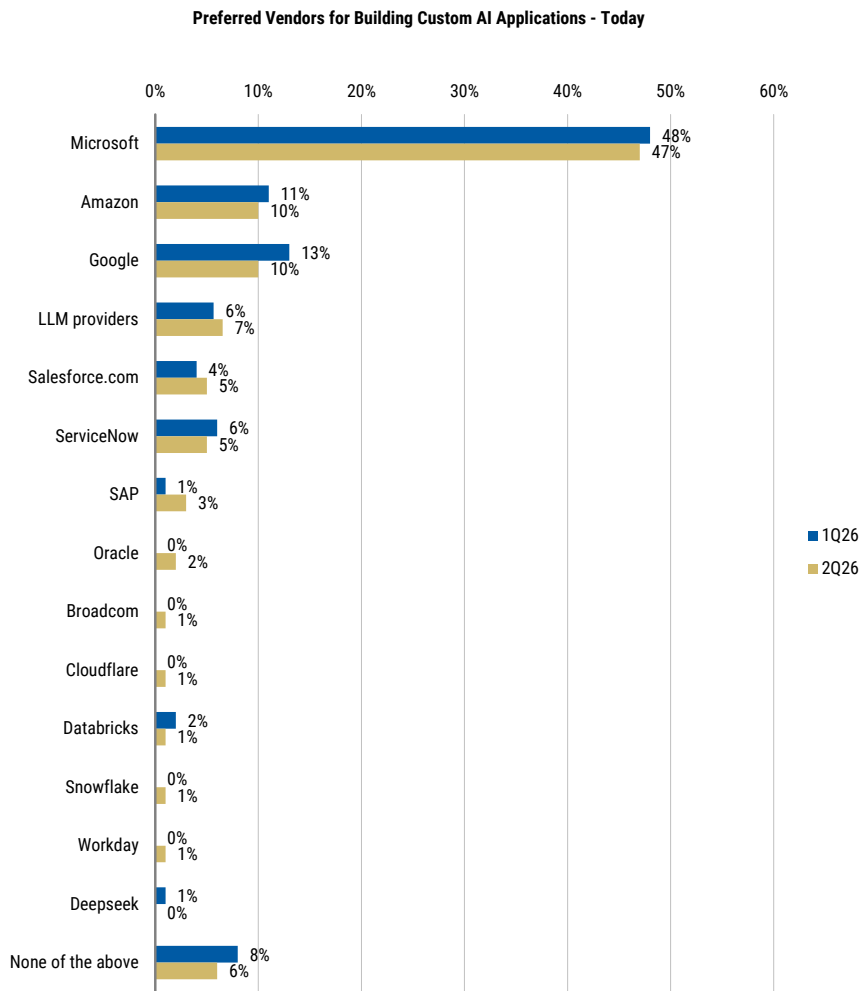
Exhibit 28: Vendors to gain largest incremental share of GenAI spend in your company in the next three years**Vendors Gaining Largest Incremental Share of Gen AI Spend in Next Three Years**

Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

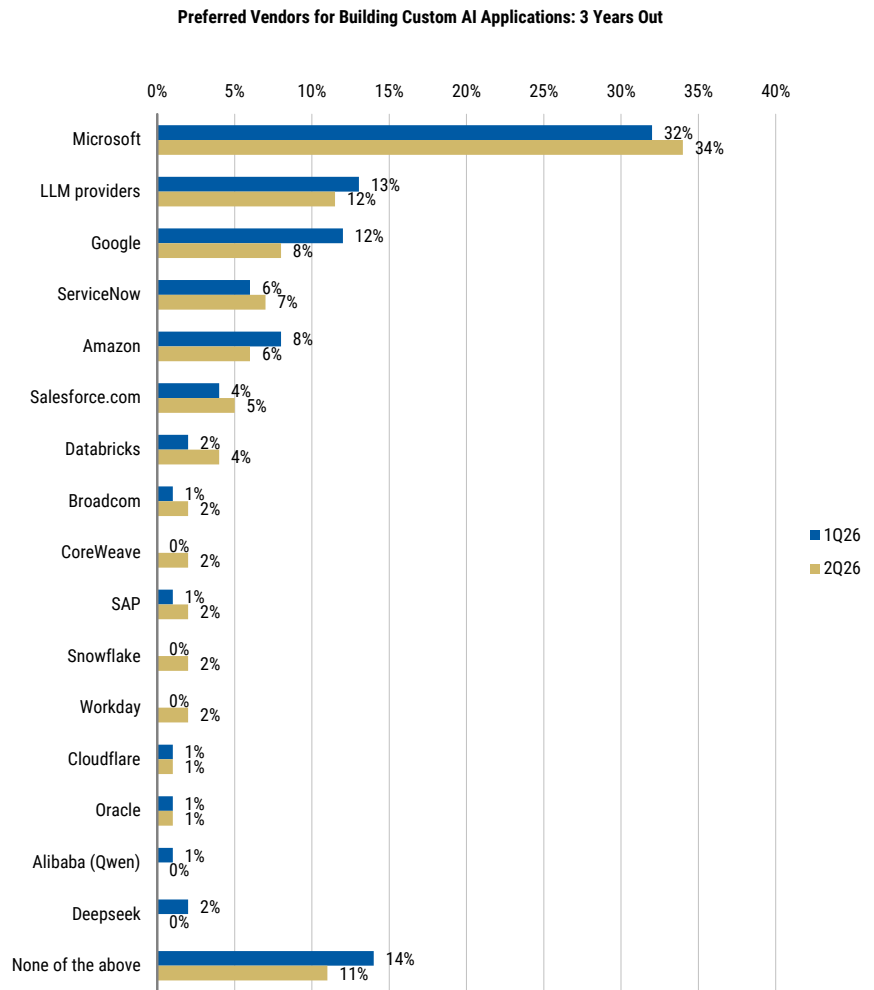
- 27% of respondents believe that Microsoft remains the vendor to gain the largest incremental share in 2026, down from 32% in 1Q26. Other top vendors are LLM providers and Amazon at 11% and 10% of respondents respectively.
- We see a broadly similar story over the LT (next three years): Microsoft remains on top with 30% of respondents believing that the company will be the vendor to gain the largest incremental share over this period. This is down from 1Q26 when Microsoft was at 32%. In the next three years, LLM providers are mentioned by a meaningfully higher share of respondents (at 17% vs c. 11% in 2026).

What is your preferred vendor for building custom AI applications today? And 3 years from now?

Exhibit 29: Preferred vendors for building custom AI applications today



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 30: Preferred vendors for building custom AI applications 3 years out

Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

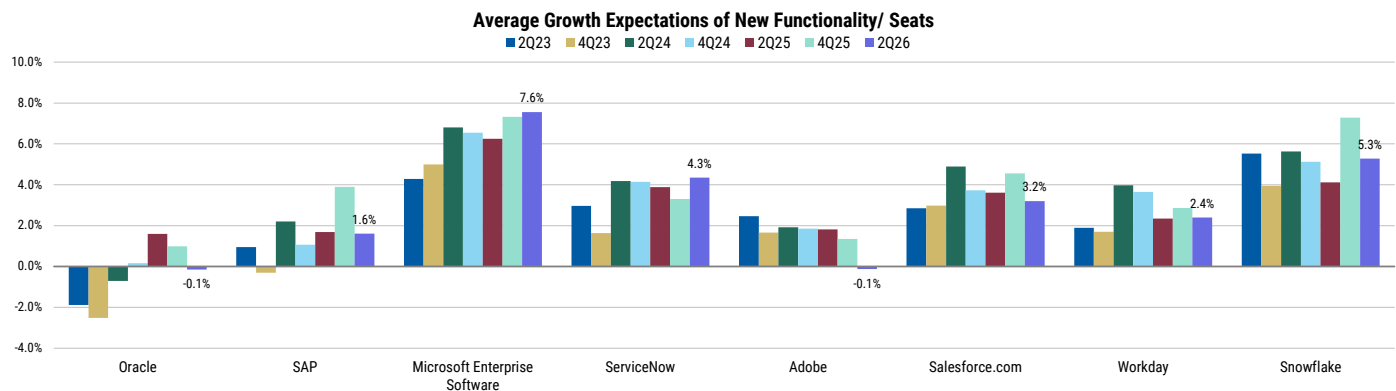
- CIOs indicate that their preferred vendor for building custom AI application today is Microsoft, at 47% of respondents (down from 48% in 1Q26). This is materially higher than the second and third placed vendors, Amazon and Google, both with 10% of respondents mentioning them as a preferred vendor for building custom AI applications.
- While Microsoft remains on top (with 34% of responses) when we look for preferred vendors for building custom AI applications three years out, with LLM providers in the runner-up spot (at 12%). Taken together with [Exhibit 28](#) above, it indicates to us that CIOs are expecting the vendor share of LLM providers to increase meaningfully in the next three years.
- We note that the % of respondents who preferred SAP increased 1pp to 2% this quarter vs. 1Q26. While modest, we think this could be an early signal that SAP's refreshed AI strategy laid out at Sapphire is starting to resonate with customers.

Software Key Takeaways

CIOs expect SAP spending on new functionality and additional users/seats to increase by 1.6% in 2026

How do you expect your spending for new software functionality or additional users/seats to change in 2026 versus 2025 for the following vendors?

Exhibit 31: Growth expectations in vendor spend on new functionality/seats in 2026



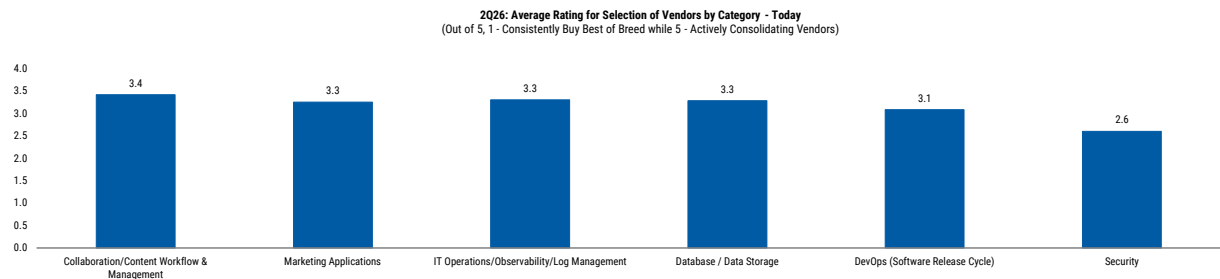
Source: AlphaWise, Morgan Stanley Research, n=60 (US and EU data). Please note that we changed our Software Domain panel vendor in 2Q24, which means comparisons with prior Software Domain surveys could face possible comparability issues.

- **Software spending growth expectations in 2026 were more mixed vs 4Q25:** Microsoft and ServiceNow saw increases; while growth across the rest of the vendors decreased. The fastest growing vendors are Microsoft Enterprise Software (at c. 7.6%) and Snowflake (at c. 5.3%).

CIOs show a slight preference for consolidation across most categories

Are you attempting to consolidate the number of vendors you utilise for the following software categories today? Please rate using a scale of 1-5 where '1' means you consistently buy the best of breed vendor for each solution while '5' means you actively consolidate solutions into one vendor.

Exhibit 32: Vendor consolidation 2Q26



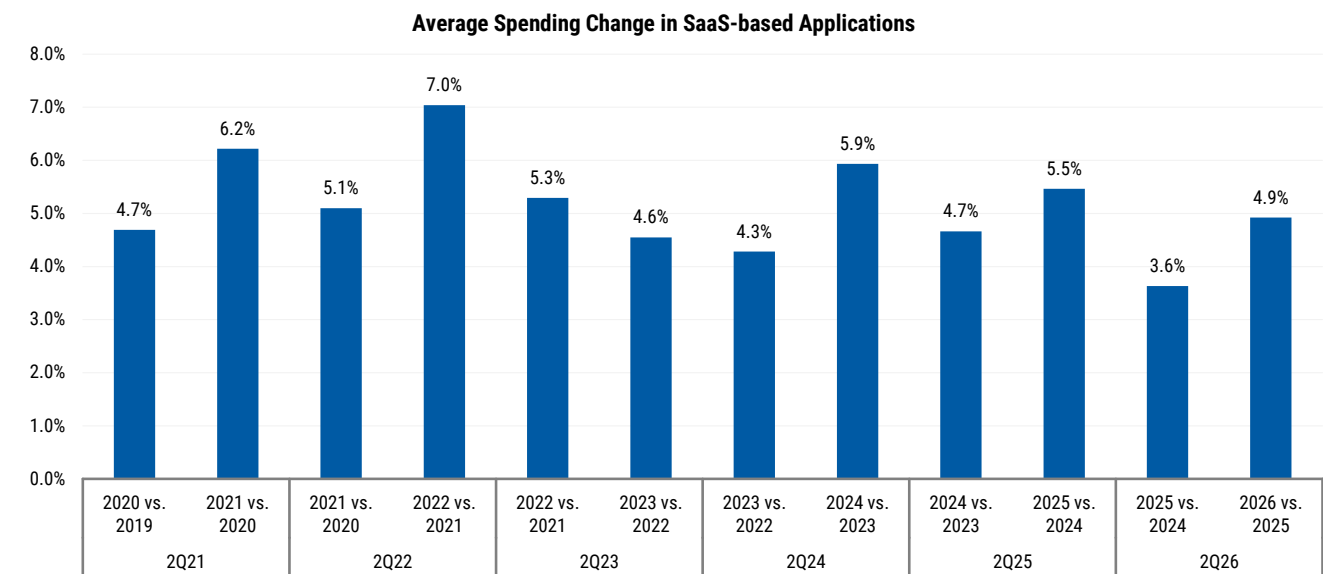
Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data). Please note that we changed our Software Domain panel vendor in 2Q24, which means comparisons with prior Software Domain surveys could face possible comparability issues.

- According to our 2Q26 survey results, CIOs mainly remain neutral around their preference between buying best-of-breed vendors vs. consolidating vendors today with a total mean of c. 3.2 this quarter – largely in line with 2Q25 at a 3.1 mean.

Spending on SaaS-based applications expected to increase by 4.9% in 2026 vs. 2025

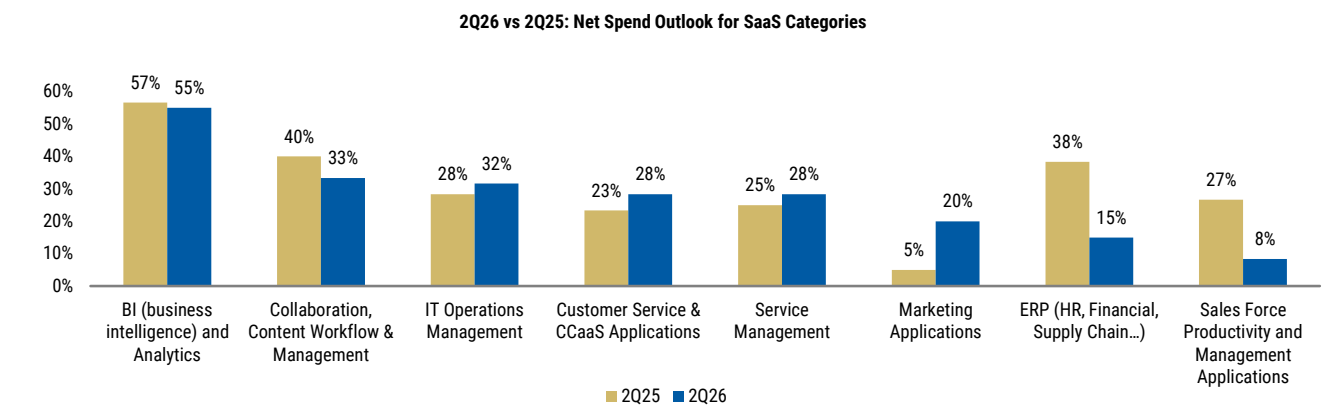
How much did spending on Software as a Service (SaaS) based applications change in CY25 vs. CY24? How much do you expect it to change in CY26 vs. CY25?

Exhibit 33: Change in SaaS Spend



Source: AlphaWise, Morgan Stanley Research. n=57 (US and EU data). Please note that we changed our Software Domain panel vendor in 2024, which means comparisons with prior Software Domain surveys could face possible comparability issues.

Exhibit 34: Net spend outlook for 2026 relative to 2025



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data). Please note that we changed our Software Domain panel vendor in 2024, which means comparisons with prior Software Domain surveys could face possible comparability issues.

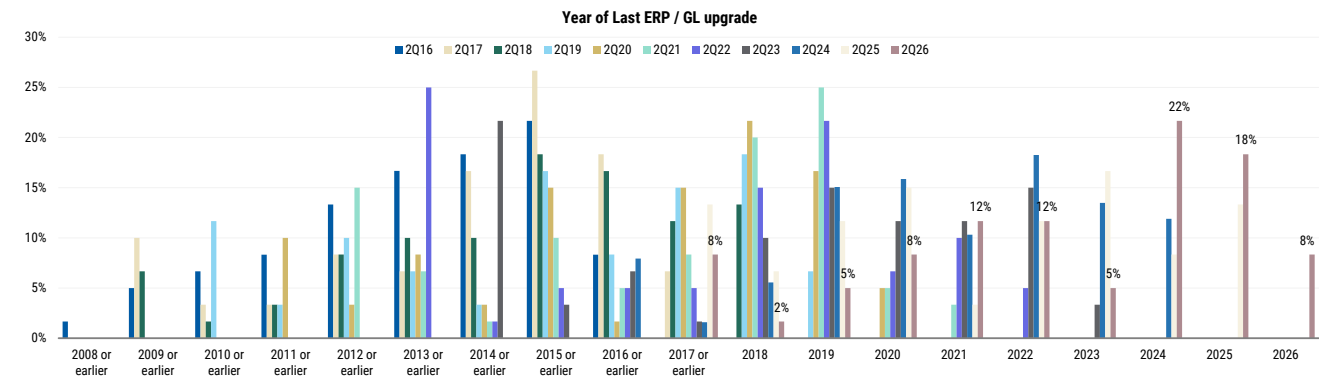
- **Note:** Net spend = % of respondents who flagged spending was likely to increase y/y - % of respondents who flagged spending was likely to decrease y/y
- CIOs expected spending on SaaS projects to increase by +4.9% in 2026 vs. 2025 (on average). This is up from 3.6% in 2025 vs. 2024.
- Business Intelligence and Analytics is the SaaS category with the highest expected net spend increase (at 55% vs 57% in 2025), followed by Collaboration, Content Workflow & Management, and then IT Operations Management. ERP net spend

outlook fell 23pps to 15%, the largest decline among the displayed categories.

Average ERP / General Ledger platform refresh cycle decreased to 5.4 years

When was the last time you upgraded your ERP and/or GL platform?

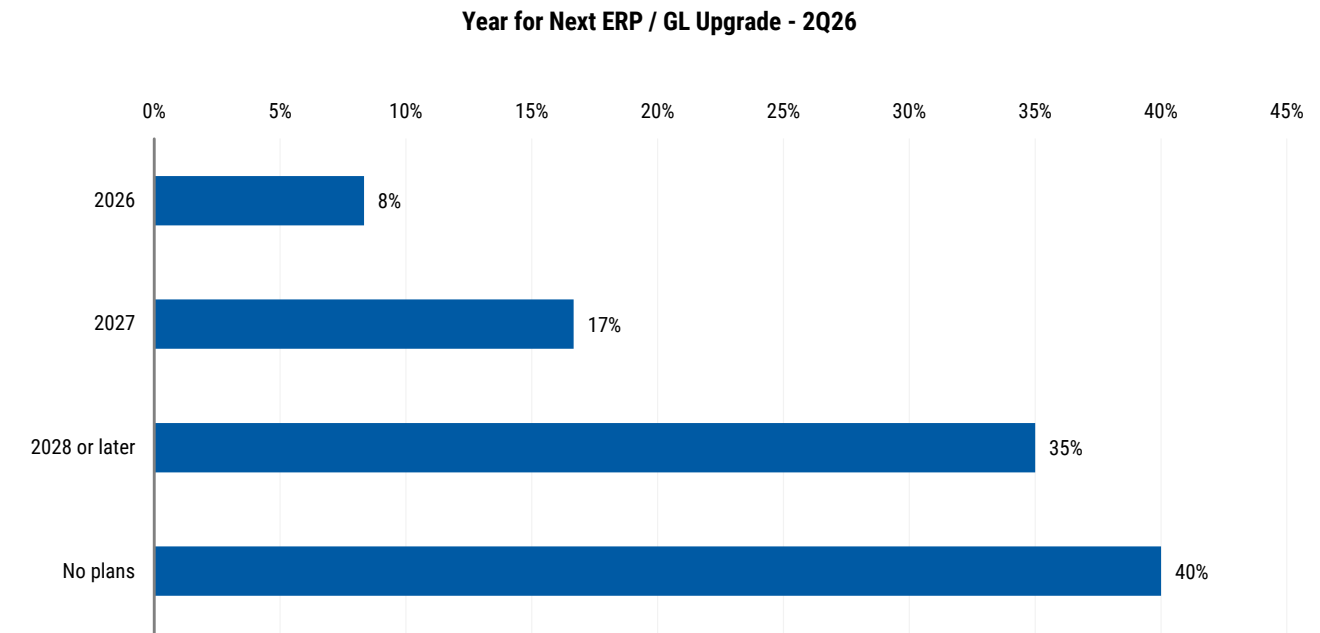
Exhibit 35: Year of last ERP / General Ledger (GL) upgrade



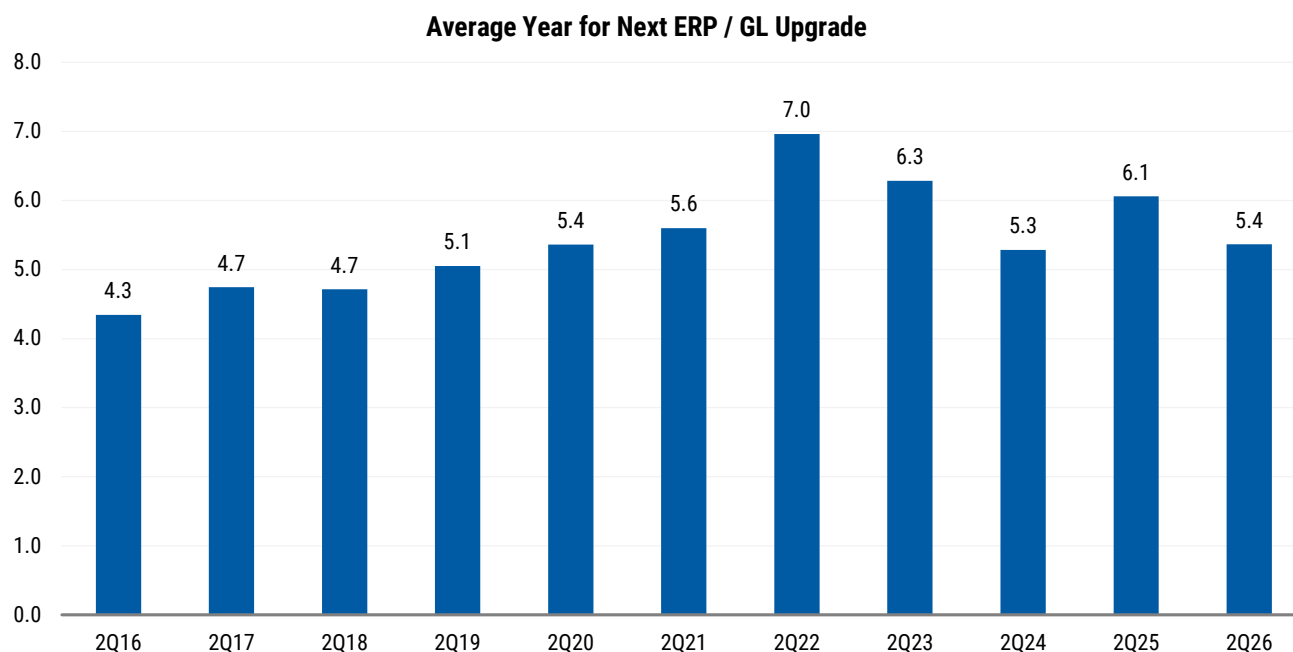
Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data). Please note that we changed our Software Domain panel vendor in 2Q24, which means comparisons with prior Software Domain surveys could face possible comparability issues.

Do you have any plans to upgrade your ERP and/or GL platform and, if so, when will the refresh begin?

Exhibit 36: Year of next ERP / General Ledger (GL) upgrade



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data). Please note that we changed our Software Domain panel vendor in 2Q24, which means comparisons with prior Software Domain surveys could face possible comparability issues.

Exhibit 37: Length of ERP/GL upgrade cycle

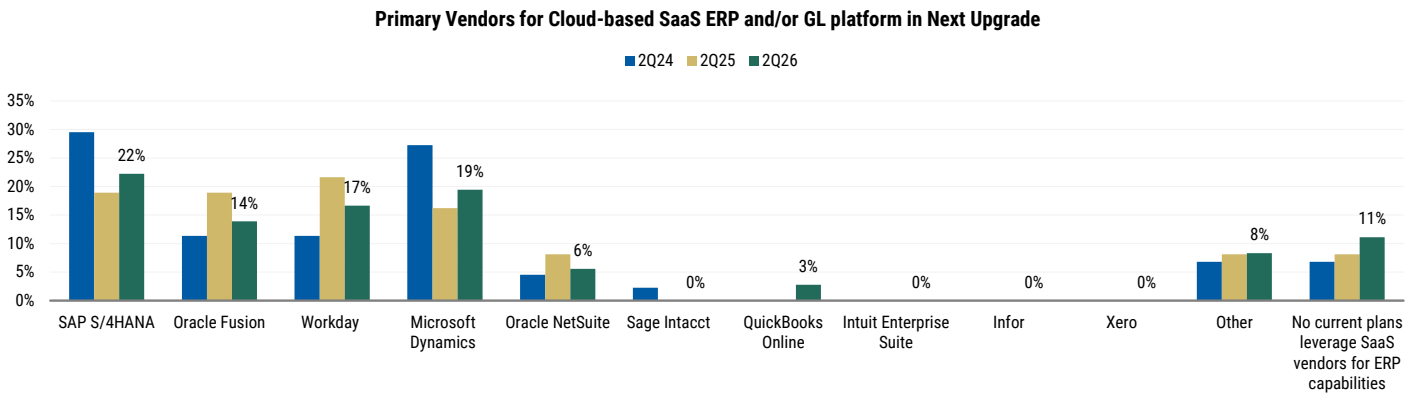
Source: AlphaWise, Morgan Stanley Research. n=33 (US and EU data). Please note that we changed our Software Domain panel vendor in 2Q24, which means comparisons with prior Software Domain surveys could face possible comparability issues.

- 8% of the CIOs surveyed anticipated upgrading their ERP / GL platform in 2026 while 17% expected to upgrade in 2027, and 35% expected to upgrade in 2028 or later. 40% of CIOs did not have any plans to upgrade their ERP / GL platforms, which is up relative to our 2Q25 results (at 38%).
- 2Q26 survey results showed that the average ERP / GL refresh cycle for is 5.4 years in this survey, down from 6.1 years in our 2Q25 survey, but broadly in-line with our 2Q24 survey results at 5.3.

SAP Regains Top Spot, with 22% of respondents now expecting S/4HANA to be the Primary Vendor at the Next SaaS ERP / GL Platform Upgrade

If you plan to leverage a cloud-based SaaS ERP and/or GL platform in your next upgrade, which of the following vendors do you expect to be primary?

Exhibit 38: SAP is the most cited vendor to be used in a cloud-based SaaS ERP/GL upgrade



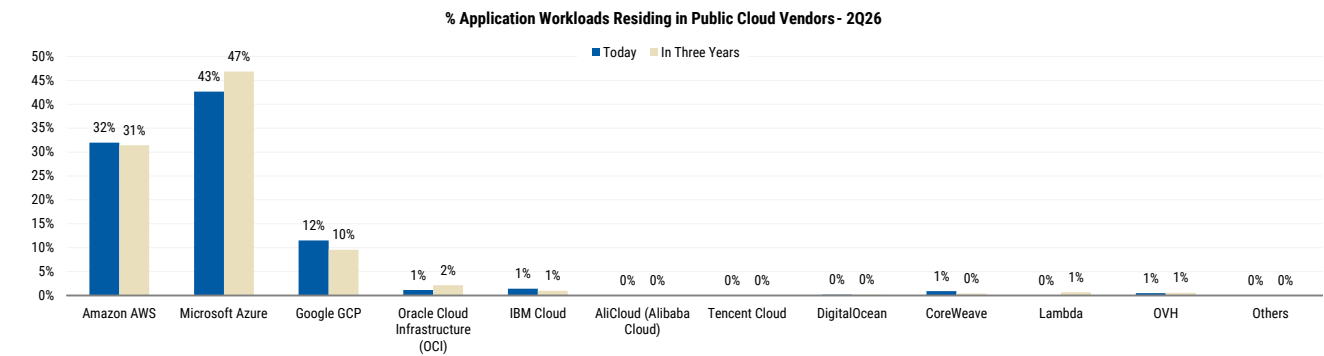
Source: AlphaWise, Morgan Stanley Research. n=36 (US and EU data). Please note that we changed our Software Domain panel vendor in 2024, which means comparisons with prior Software Domain surveys could face possible comparability issues.

- At 22% of respondents, SAP S/4HANA is the most cited cloud-based SaaS ERP/GL platform to be used in the next upgrade cycle (up from 2025 at c. 19%). Microsoft Dynamics is the second-most cited, at 19% of respondents (up from 2025 at c. 16%). We see this as a positive for **SAP**.

Microsoft Azure is expected to increase its share of public cloud workloads over the next 3 years

Which are your top 3 public cloud providers and what percentage of your application workloads reside in each of them today? What percentage of your application workloads do you expect to reside in each of them in three years?

Exhibit 39: Application workload residing in public cloud



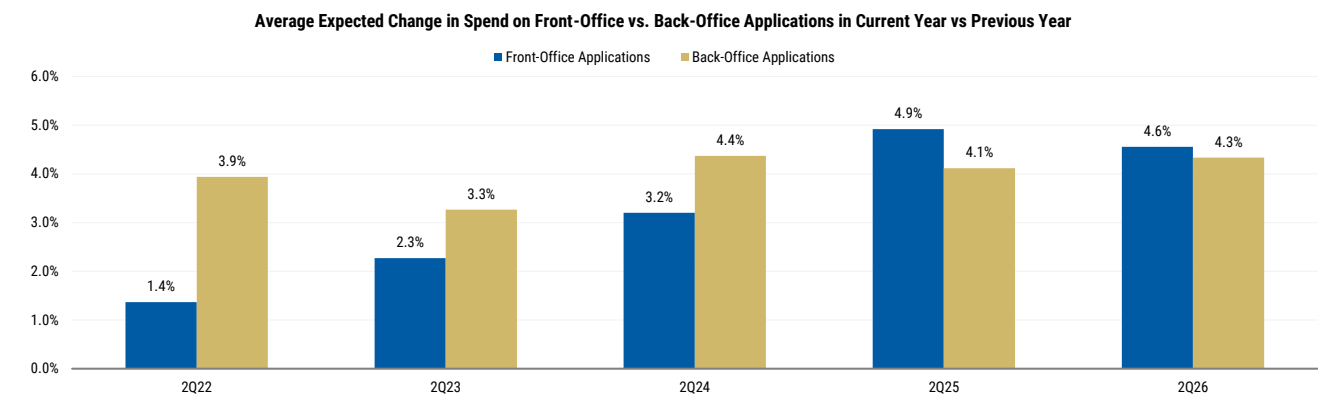
Source: AlphaWise, Morgan Stanley Research, n=60 (US and EU data). Please note that we changed our Software Domain panel vendor in 2Q24, which means comparisons with prior Software Domain surveys could face possible comparability issues.

- According to surveyed CIOs, Microsoft Azure currently accounts for the largest share of public-cloud workloads, at 43% versus 52% in our 2Q25 survey sample. AWS follows at 32%, up from 28%, while Google Cloud accounts for 12%, up from 9%. Over the next three years, Azure's share is expected to increase modestly to 47%, while AWS's share is expected to edge down to 31% and Google Cloud's to 10%. As respondents were asked to identify only their top three public-cloud providers, the reported shares do not sum to 100%.

Back-office spending growth expected to accelerate in 2026

How do you expect your organisation's spending in the following areas to change in 2026 vs. 2025?

Exhibit 40: Expected change in back- and front-office spend



Source: AlphaWise, Morgan Stanley Research, n=59 (US and EU data). Please note that we changed our Software Domain panel vendor in 2024, which means comparisons with prior Software Domain surveys could face possible comparability issues.

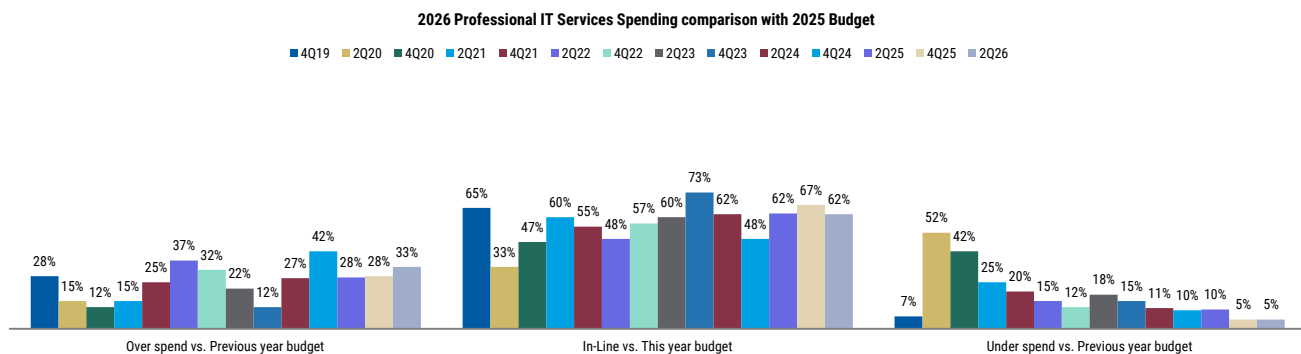
- Back-office applications are expected to grow c. 4.3% y/y on average (vs c. 4.1% expected in 2025), while front-office applications are expected to grow c. 4.6% y/y (vs c. 4.9% expected in 2025). Although front-office growth is lower than in 2025, it remains well above the average level since 2022 (at c. 3.3%). We see the (albeit slight) acceleration in back-office spending expectations as a positive for **SAP**.

IT Services Key Takeaways

Majority of CIOs expect their 2026 IT Services budget to be in line with their 2025 budget

Do you expect your professional IT services spending in 2026 to be in line with the budget this year, or is your organisation more likely to over- or under-spend vs. your 2025 IT services budget? This question refers to the impact on your spending with professional IT services providers such as Accenture and Tata Consultancy Services (TCS), NOT cloud providers such as Salesforce.com and Amazon Web Services

Exhibit 41: 2026 vs 2025 IT Services: over- vs under-spending



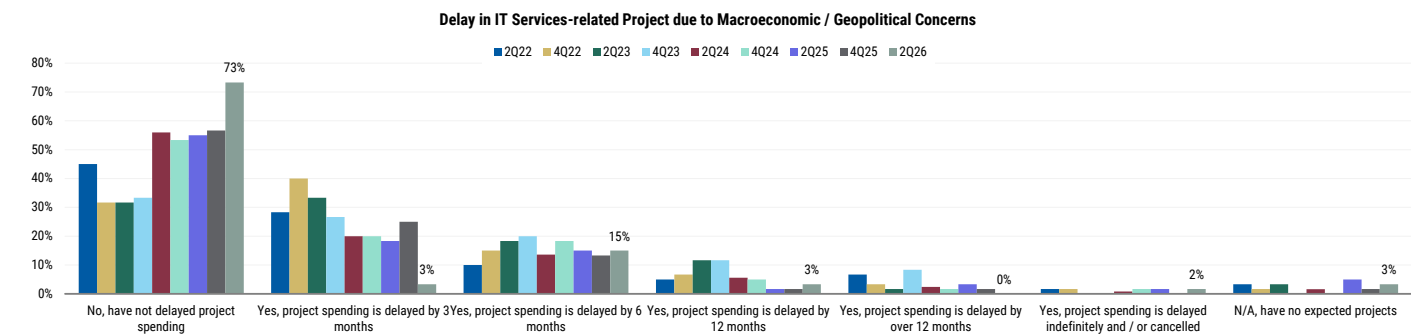
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data). Please note that we changed our IT Services Domain panel vendor in 2Q24, which means comparisons with prior IT Services Domain surveys could face possible comparability issues.

- In 2Q26, sentiment around IT services spending improved slightly as c. 33% of companies are expecting to over-spend on 2026 IT Services budgets vs 2025 budget. This level is up from c. 28% in 4Q25. Only 5% expect to underspend in 2026 vs. 2025 (flat vs 4Q25). We also note that the % of CIOs expecting 2026 budgets to come in-line with 2025 decreased to 62% (from 67% in 4Q25).
- While this paints an incrementally better picture for IT Services, we would see the change as marginal. Overall, we see these results as suggesting that IT Services spending is likely to remain broadly aligned with the subdued levels seen in 2025, rather than showing any meaningful improvement from here.

Despite turbulent geopolitical environment, fewer CIOs report project delays

Are your company's expected professional IT Services-related projects (e.g., digital transformation, cloud migration) delayed due to macroeconomic and / or geopolitical concerns?

Exhibit 42: IT services: project delays due to geopolitical and / or macroeconomic concerns



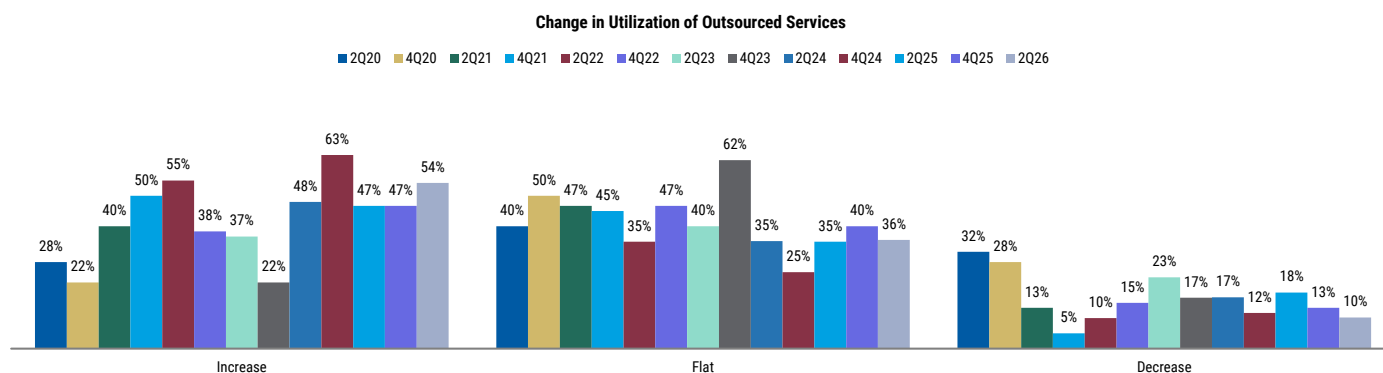
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data). Please note that we changed our IT Services Domain panel vendor in 2Q24, which means comparisons with prior IT Services Domain surveys could face possible comparability issues.

- Despite the ongoing conflict in the Middle East, the number of companies having seen delays in IT services related projects due to geopolitical and/or macroeconomic concerns decreased significantly to c. 23% (vs 42% in 4Q25).

63% of CIOs indicated that digital transformation initiatives increase the level of traditional IT outsourcing spending

Is your company changing its mix of spending on resources in-house vs. outsourced?

Exhibit 43: Change in utilization of outsourced services

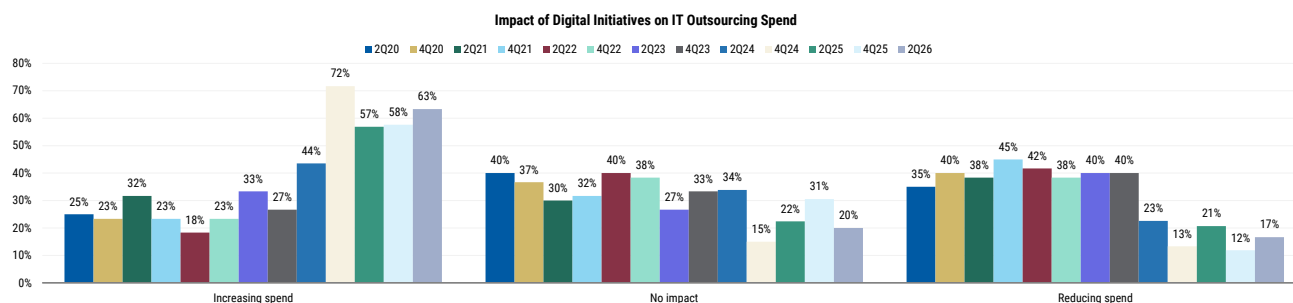


Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data). Please note that we changed our IT Services Domain panel vendor in 2Q24, which means comparisons with prior IT Services Domain surveys could face possible comparability issues.

- The proportion of CIOs planning to increase utilisation of outsourced services came in at 54%, higher than the 47% recorded in 4Q25. Corresponding with this, there was a decrease in the proportion of CIOs planning to decrease outsourced services at 10% (vs 13% in 4Q25).
- On average, our surveyed CIOs expect to increase the level of outsourced resources by c. 3.4% (up from c. 2.0% in 4Q25).

How is digital transformation impacting your traditional IT outsourcing spend? We are defining IT outsourcing as BPO, application maintenance, IT outsourcing & infrastructure maintenance

Exhibit 44: Impact of digital initiatives on IT outsourcing spend

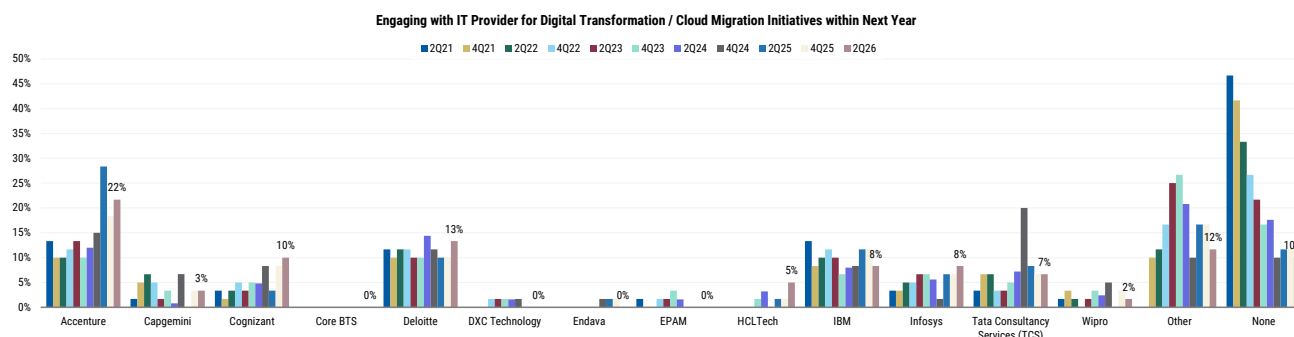


Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data). Please note that we changed our IT Services Domain panel vendor in 2Q24, which means comparisons with prior IT Services Domain surveys could face possible comparability issues.

- Only 17% of CIOs indicated that digital transformation was reducing the level of traditional IT outsourcing spending, up from the 12% recorded in 4Q25. Conversely, 63% of CIOs surveyed indicated that digital transformation was increasing the level of traditional IT outsourcing spending, up from 58% in 4Q25.
- On average, we estimate that digital transformation initiatives increase traditional IT outsourcing spending by c. 3.0% (up from the 2.4% calculated in 4Q25).

Which IT Services provider is your company engaging with or planning to engage with for its digital transformation and/or cloud migration initiatives within the next year?

Exhibit 45: IT providers with greatest exposure to Digital Transformation / Cloud Migration initiatives



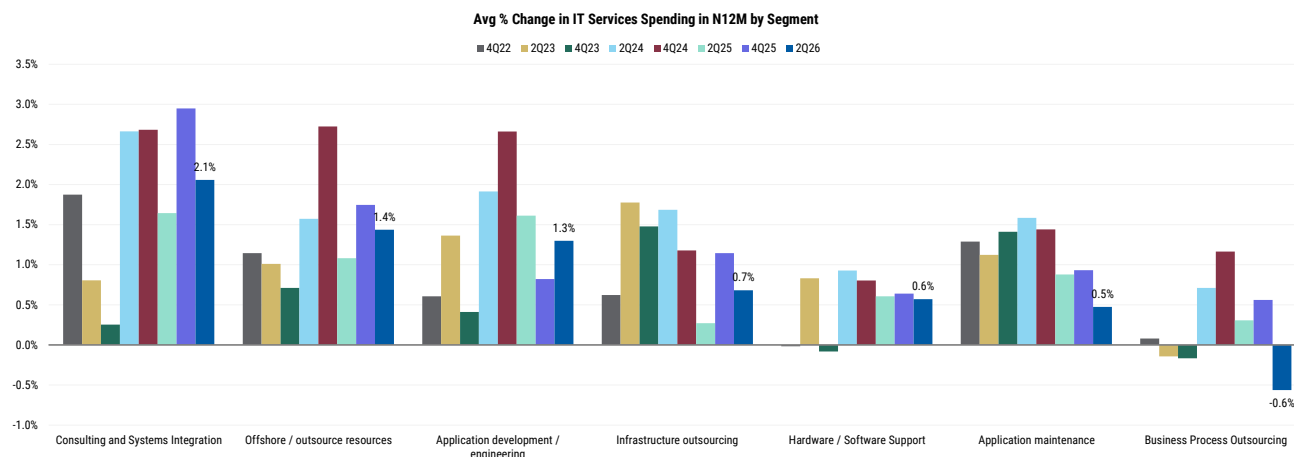
Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data). Please note that we changed our IT Services Domain panel vendor in 2Q24, which means comparisons with prior IT Services Domain surveys could face possible comparability issues.

- According to our surveyed CIOs, the top 3 vendors with the greatest exposure to Digital Transformation/Cloud Migration Initiatives are Accenture (22%), Deloitte (13%), and Cognizant (10%) – broadly consistent with our 4Q25 survey, except that IBM has dropped out of top 3 (now at 8%, vs 12% in 4Q25). According to these results, only 3% of respondents are engaging with or planning to engage with **Capgemini** for their DT/CM initiatives.

CIOs expect Consulting and Systems Integration spending to increase by c. 2.1% in the next 12 months

How do you expect your professional IT services spending in the following segments to change in the next 12 months? This question refers to the impact on your spending with professional IT services providers such as Accenture and Tata Consultancy Services (TCS), NOT cloud providers such as Salesforce.com and Amazon Web Services.

Exhibit 46: Historical weighted degree of spending shift by category (%)



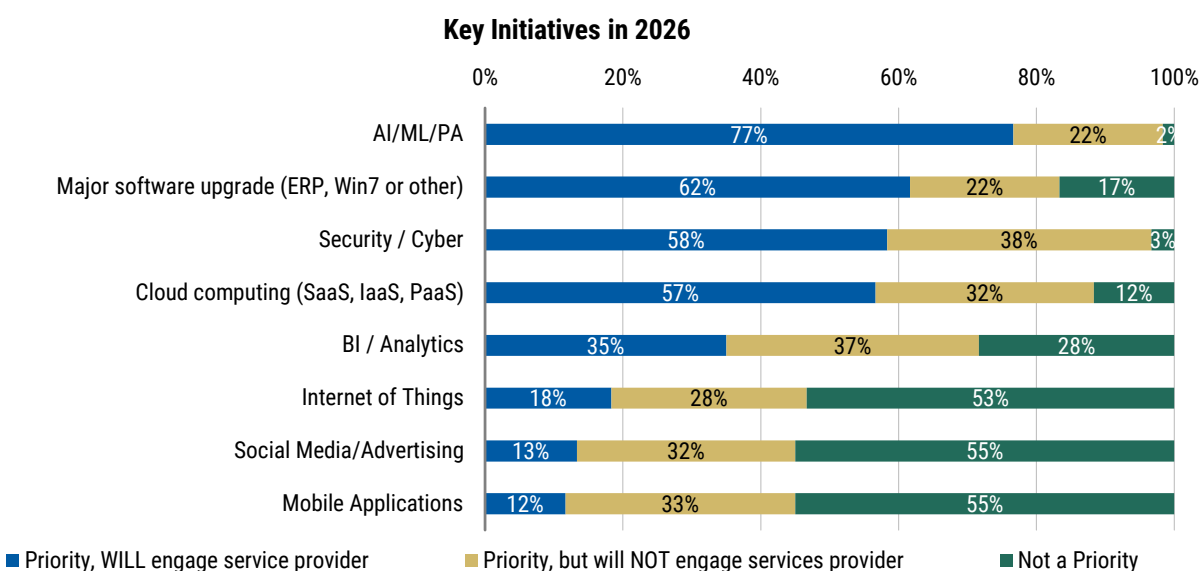
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data). Please note that we changed our IT Services Domain panel vendor in 2Q24, which means comparisons with prior IT Services Domain surveys could face possible comparability issues.

- In 2Q26, CIOs expected an increase in IT spending across all of the above IT Services segments in the next 12 months, except for Business Process Outsourcing (at -0.6%). The highest increase was in Consulting and Systems Integration (+2.1%), followed by Offshore/Outsource Resources (+1.4%), and Application Development/Engineering (+1.3%).

AI/ML/PA takes the #1 priority spot for CIOs in 2026

Are any of the following initiatives a priority for your company in 2026? If so, is your company engaging or planning to engage outside professional IT services providers to help with the planning or execution?

Exhibit 47: Key initiatives in 2026



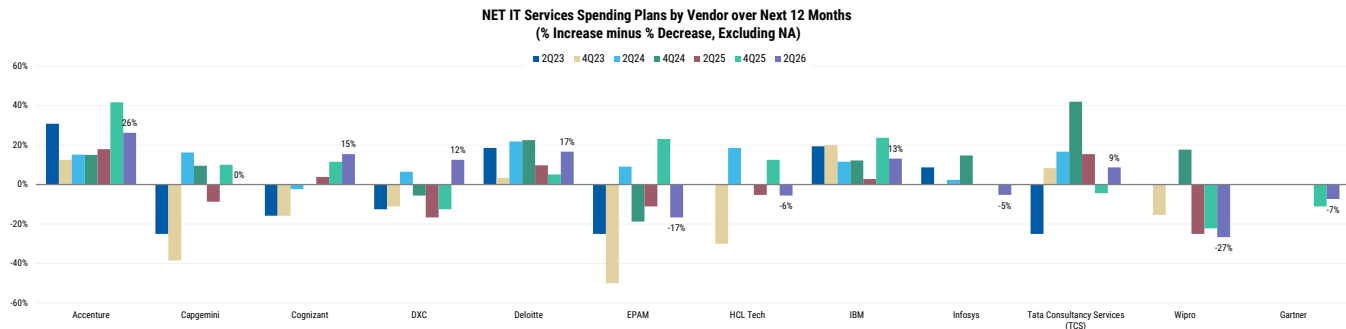
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data). Please note that we changed our IT Services Domain panel vendor in 2Q24, which means comparisons with prior IT Services Domain surveys could face possible comparability issues.

- Surveyed CIOs indicated that AI/ML/PA is their top priority, as 77% will engage with an outside professional IT services provider to help with the planning/execution. 22% indicated it as a priority, but will NOT be engaging with a services provider, and only 2% said it was not a priority. This result speaks to the AI bull case for IT Services – that they will be key agents to enable deep integration and adoption of AI at the enterprise level.
- Another priority for CIOs is Major Software Upgrades (62% will engage a service provider on this initiative), and Security / Cyber (58%) vs 47% and 58% respectively in 4Q25.

Accenture has a +26% net spending-intention balance over the next 12 months

Over the next 12 months, what are your IT services spending plans as they relate to specific vendors?

Exhibit 48: IT services spending plans in N12M by vendor



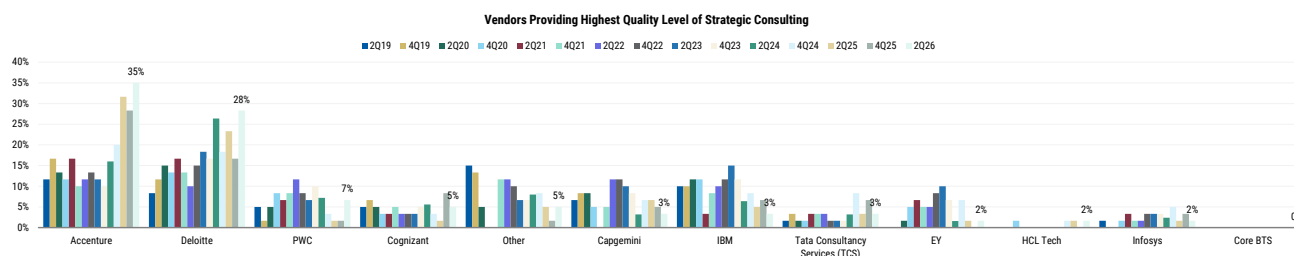
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data). Please note that we changed our IT Services Domain panel vendor in 2Q24, which means comparisons with prior IT Services Domain surveys could face possible comparability issues.

- On average, our surveyed CIOs indicated that they are likely to increase spend over the next 12 months with the following vendors: Accenture (26% on a net basis, n=42), Cognizant (15%, n=26), DXC (12%, n=8), Deloitte (17%, n=42), IBM (13%, n=38), and TCS (9%, n=23). Spend with **Capgemini** (n=19) is expected to be flat on a net basis.
- They indicated that they are likely to decrease spend with EPAM (-17%, n=12), HCLTech (-6%, n=18), Infosys (-5%, n=19), Wipro (-27%, n=15), and Gartner (-7%, n=41).

Accenture and Deloitte are considered the highest-quality vendors for strategic consulting

Which of the following vendors provides the highest quality level of strategic consulting?

Exhibit 49: Highest quality vendors for strategic consulting



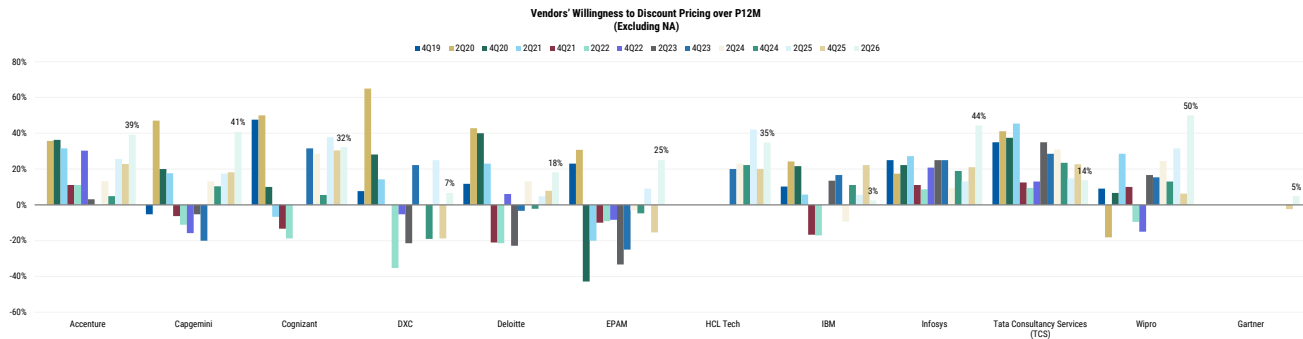
Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data). Please note that we changed our IT Services Domain panel vendor in 2024, which means comparisons with prior IT Services Domain surveys could face possible comparability issues.

- Accenture (35% of surveyed CIOs), Deloitte (28%) and PwC (7%) are the top rated names perceived by our surveyed CIOs to be the highest-quality vendors for strategic consulting.

Vendors' willingness to discount prices over the last 12 months increased across all vendors

Compared to last year, how would you describe the following vendors' willingness to discount pricing over the past 12 months?

Exhibit 50: Vendor willingness to discount pricing in last 12 months



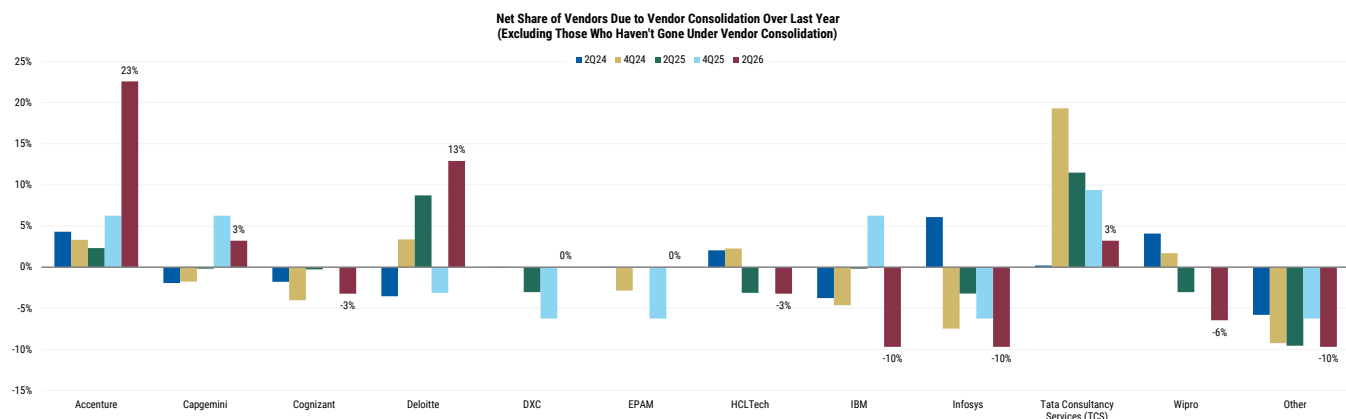
Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data). Please note that we changed our IT Services Domain panel vendor in 2Q24, which means comparisons with prior IT Services Domain surveys could face possible comparability issues.

- The magnitude of the willingness to discount prices varies by vendors, but in general and according to our survey, all tracked vendors had a positive net perceived willingness to discount in the last 12 months.
- The vendors showing the most significant increase in willingness to discount over the last 12 months vs our 4Q25 survey were Wipro (a 44 ppt increase in perceived willingness to discount, n=22), EPAM (40ppt increase, n=20), DXC (25ppt increase, n=15), **Capgemini** (23ppt increase, n=27), and Infosys (23ppt increase, n=27).

Accenture and Deloitte are the largest share gainers from vendor consolidation

Has your organisation undergone vendor consolidation with respect to professional IT Services providers? If so, which professional IT Services vendor was the largest share gainer/donor?

Exhibit 51: Net share gain of vendors due to consolidation



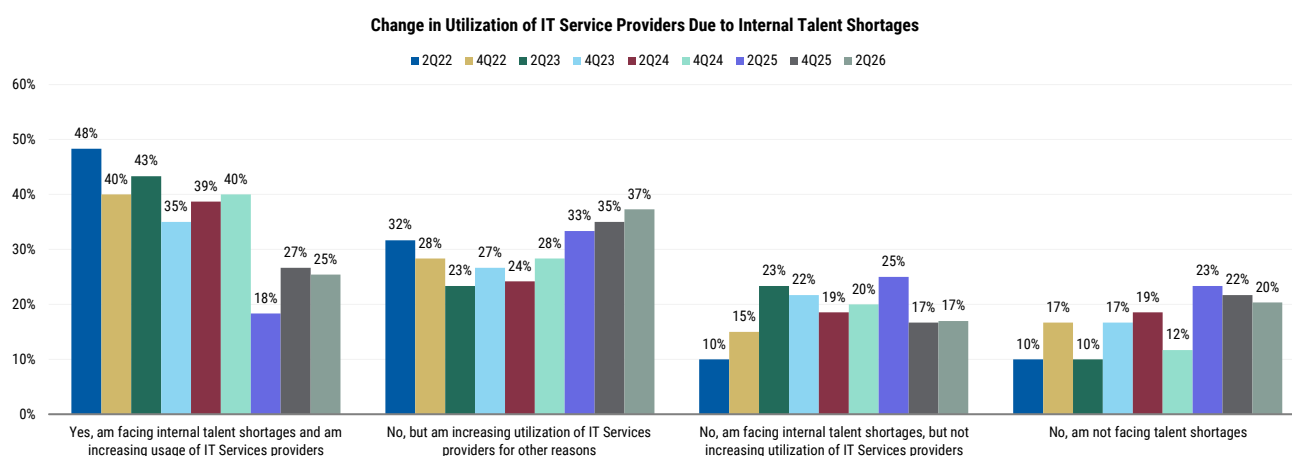
Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data). Please note that we changed our IT Services Domain panel vendor in 2Q24, which means comparisons with prior IT Services Domain surveys could face possible comparability issues.

- According to CIOs that have undergone vendor consolidation (n=31), the beneficiaries of vendor consolidation are Accenture (23%), Deloitte (13%), Tata Consultancy Services (3%), and **Capgemini** (3%). All other vendors were net share donors (or neutral).
- The biggest net donors were IBM and Infosys, both at -10%.

25% of CIOs surveyed indicate that talent shortages are increasing their usage of IT Services providers

Are you increasing utilisation of IT Services providers due to internal talent shortages?

Exhibit 52: Change in utilisation of IT service providers due to internal talent shortages



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data). Please note that we changed our IT Services Domain panel vendor in 2Q24, which means comparisons with prior IT Services Domain surveys could face possible comparability issues.

- 25% of CIOs stated that their companies are increasing the usage of IT service providers due to internal talent shortages (down slightly from 27% in 4Q25). A further 37% said that they were increasing the usage of IT service providers, but not due to internal talent shortages (up from 35% in 4Q25).

Morgan Stanley AlphaWise CIO Survey Demographics

- **CIO Macro survey:** It was conducted by our legacy vendor through telephone and online interviews with 100 decision makers, representing 100 enterprise Information Technology organizations, from May 8th to June 8th, 2026. 76 respondents are from the US and 24 from Europe. Survey respondents hold responsibility for purchasing, integrating and maintaining technology. Their responses represent enterprise customer adoption and purchasing behaviors for Q2 2026.
- **IT Services Domain survey:** We conducted online interviews with 60 respondents (45 US / 15 EU) through a new vendor we have engaged since the first half of 2024, representing enterprise Information Technology organizations. Survey respondents hold responsibility for purchasing, integrating and maintaining IT Services based strategies. Interviews were conducted from May 6th to May 27th, 2026.
- **Software Domain survey:** We conducted online interviews with 60 respondents (45 US / 15 EU) through a new vendor we have engaged since the first half of 2024, representing enterprise Information Technology organizations. Survey respondents hold responsibility for purchasing, integrating and maintaining software strategies. Interviews were conducted from May 7th to May 24th, 2026.

Exhibit 53: CIO Macro Survey Respondents (By Revenue)

Revenue		
Total Respondents = 100		
US Respondents = 76		
\$500 Million - \$1 Billion	12	16%
\$1-5 Billion	31	41%
\$5-10 Billion	12	16%
\$10-15 Billion	3	4%
\$15-20 Billion	6	8%
>\$20 Billion	12	16%
Europe Respondents = 24		
\$500 Million - \$1 Billion	4	17%
\$1-5 Billion	17	71%
\$5-10 Billion	1	4%
\$10-15 Billion	0	0%
\$15-20 Billion	1	4%
>\$20 Billion	1	4%

Source: AlphaWise, Morgan Stanley Research

Exhibit 54: CIO Macro Survey Respondents (By Industry Vertical)

Vertical		
Total Respondents = 100		
Aerospace / Defense	0	0%
Business services	3	3%
Communications	7	7%
Consumer Goods	3	3%
Education	4	4%
Energy	5	5%
Financial	12	12%
Healthcare	8	8%
Legal	2	2%
Manufacturing	14	14%
Pharmaceuticals	5	5%
Retail	8	8%
Services	6	6%
Technology	17	17%
Transportation	3	3%
Wholesale / Distribution	3	3%
US Respondents = 76		
Aerospace / Defense	0	0%
Business services	2	3%
Communications	6	8%
Consumer Goods	1	1%
Education	3	4%
Energy	5	7%
Financial	9	12%
Healthcare	6	8%
Legal	2	3%
Manufacturing	9	12%
Pharmaceuticals	2	3%
Retail	7	9%
Services	6	8%
Technology	14	18%
Transportation	2	3%
Wholesale / Distribution	2	3%
Europe Respondents = 24		
Aerospace / Defense	0	0%
Business services	1	4%
Communications	1	4%
Consumer Goods	2	8%
Education	1	4%
Energy	0	0%
Financial	3	13%
Healthcare	2	8%
Legal	0	0%
Manufacturing	5	21%
Pharmaceuticals	3	13%
Retail	1	4%
Services	0	0%
Technology	3	13%
Transportation	1	4%
Wholesale / Distribution	1	4%

Source: AlphaWise, Morgan Stanley Research

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
Adam Wood		
SAP SE (SAP.N)	O (02/20/2026)	US\$154.81
SAP SE (SAPG.DE)	O (03/20/2020)	€136.72
George W Webb		
Amadeus IT Holdings S.A. (AMA.MC)	O (04/10/2026)	€49.72
Capgemini (CAPP.PA)	E (02/19/2026)	€90.14
Dassault Systemes SA (DAST.PA)	E (03/17/2026)	€18.39
Hexagon AB (HEXAb.ST)		SKr 79.68
IONOS Group SE (IOSn.DE)	E (05/12/2025)	€30.24
Nemetschek SE (NEKG.DE)	E (07/13/2022)	€56.30
Netcompany Group A/S (NETCG.CO)	U (01/12/2026)	DKr 309.60
Sage (SGE.L)	O (12/08/2021)	850p
Marie-Ange Riggio		
Indra (IDR.MC)	O (07/14/2026)	€48.87
Mark Hyatt		
HBX Group International PLC (HBX.MC)	E (04/17/2026)	€7.41
Temenos Group AG (TEMN.S)	U (12/15/2017)	SFr 69.20
Tieto Oyj (TIETO.HE)	U (01/12/2026)	€17.84

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